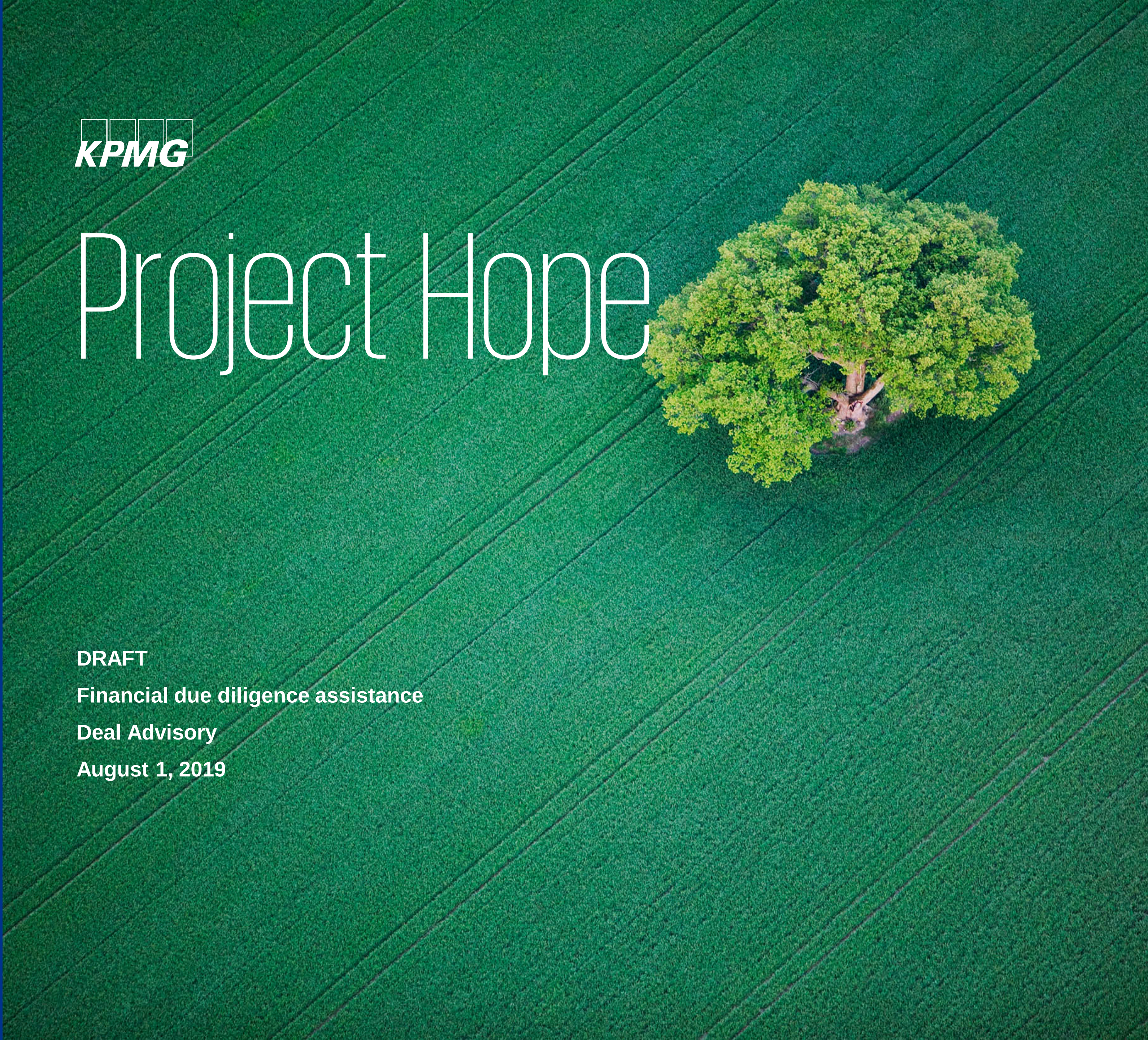

KPMG

Project Hope

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Financial due diligence assistance

Deal Advisory

August 1, 2019

Important notice

This report has been prepared by KPMG LLP (“KPMG”) for the internal use of Greenbrook TMS NeuroHealth Centers (“Client”) on a confidential basis pursuant to our engagement letter dated May 29, 2019 (“Engagement Agreement”) and is subject in all respects to the terms and conditions of the Engagement Agreement, including restrictions on use of this report by third parties. This report is being provided to Client on a confidential basis and may not be disclosed to any other person or entity without the express written consent of KPMG and Client. KPMG neither warrants nor represents that the information contained in this report is accurate, complete, sufficient or appropriate for use by any person or entity other than Client or for any purpose other than set out in the Engagement Agreement. This report may not be relied upon by any person or entity other than Client, and KPMG hereby expressly disclaims any and all responsibility or liability to any person or entity other than Client in connection with their use of this report. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of the Client and KPMG.

The quality of earnings and net working capital analysis is for indicative purposes only. We have sought to illustrate the effect on EBITDA and net working capital of adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional'. However the selection and quantification of such adjustments is necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'underlying' earnings or working capital, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring’ or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings and working capital trends for future periods may be affected by such items, which may be different from the historical items.

The sources of information used are noted, wherever possible, in the report. We have not sought to establish the reliability of these sources by reference to evidence independent of management. We have, however, reviewed the information produced and have satisfied ourselves, so far as possible, that the information presented is consistent with other information obtained by us during the course of the work undertaken to prepare this report. The findings presented in this report are based on information provided in the Target’s managed electronic data room.

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Private and confidential

Mr. Erns Loubser, CFO
Greenbrook TMS NeuroHealth Centers
870 Yonge Street
Toronto, Ontario, Canada
M4W 3P4

August 1, 2019

Dear Mr. Loubser,

We have substantially completed our procedures to assist Greenbrook TMS NeuroHealth Centers ("Client" or "you") in performing financial due diligence in connection with your prospective acquisition (the "Transaction") of Achieve TMS, LLC (the "Company" or "Target"), in accordance with the terms of our engagement letter dated May 29, 2019, including its Terms and Conditions for Advisory and Tax Services.

Objective

The objective of our engagement was to assist you with your assessment of the risks and opportunities of your prospective acquisition of Target. Our work in this report was based on information provided by you and obtained in an electronic data room and discussions with Target Management and their advisors. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you.

Basis of Information

The engagement letter describes the procedures we were to perform. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board ("AASB") in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you and/or Target from June 8, 2019 to July 31, 2019, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to July 31, 2019. We have not reviewed this report with Target Management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,

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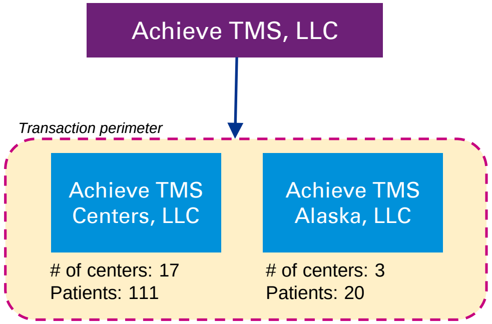
Contents

Executive summary

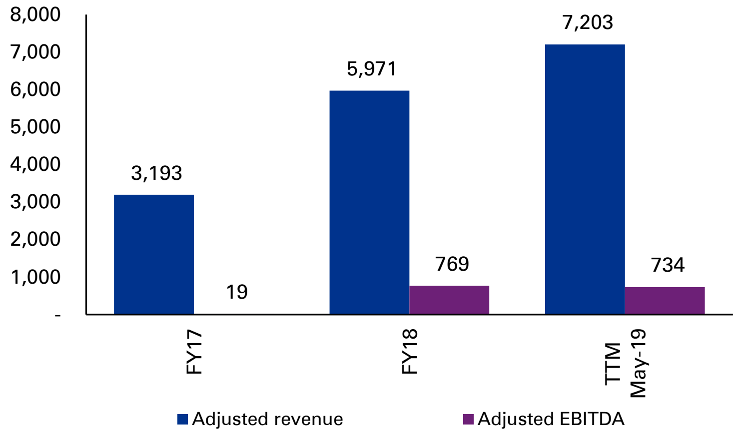
Business overview

Corporate structure overview



Note: Center and patient count are as at 31-May-2019.

Financial performance



Source: Management provided information

Business overview

- Achieve TMS, LLC (“Target”, or the “Company”) is a healthcare service company providing Transcranial Magnetic Stimulation (“TMS”) therapy, an FDA-cleared therapy for the treatment of Major Depressive Disorder (“MDD”) and other mental health disorders.
- The Company was founded by Drs. Manish Sheth and Shashita Inamdar in 2016 and is headquartered in San Diego, California.
- As of May 2019, the Company operates 17 active TMS clinics in California and Oregon with 7 additional centers under development, in addition to 3 active TMS clinics in Alaska.
- The Company specializes in Deep TMS treatments, which are half as long as traditional TMS treatments, typically providing five 20 minute sessions per week for 4 to 6 weeks to treat “MDD”. As at May 2019, the Company has 131 active patients.
- In FY18, the Company collaborated with Calabasas Behavioral Health to form a joint venture “TMS Achieve LA”. Due to operational difficulties venture incurred losses and was dissolved in FY18.
- The Company has contracts with five major insurance providers: Blue Cross, Aetna, Tricare, United Healthcare (UHC) and Madon.

Information overview and access

- The analysis contained in this report is prepared based on the following sources of information and access:
  - ***Data room access:*** Key information from the data room includes internal trial balances, annual financial statements, bank and check records, collection and billing details, and lease contracts.
  - ***Discussions:*** Discussions held with Raymond James Financial (Target’s financial advisors), Rick Christie (CEO), Shashita Inamdar (Partner) and advisors, the Company’s independent CPA firm, and the Company’s outsourced collections agency D&T Billings.

Summary reported financial statements

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The Company's fiscal year-end is December 31st.

The adjacent tables presents the Company's reported income statement and balance sheet for each respective period.

The financial statements are not audited or reviewed and maintained on a cash-basis.

Detailed income statement - Combined

USD'000	FY17	FY18	TTM May-19
Collections	3,096	5,865	7,061
Other income	29	37	32
Refunds	4	(0)	(5)
Revenue	3,129	5,901	7,088
Payroll expenses	(739)	(1,443)	(1,852)
Physician services	(268)	(475)	(810)
Equipment lease	(323)	(646)	(740)
Advertising & marketing expenses	(231)	(381)	(486)
Account management fees	(243)	(339)	(407)
Rent/lease expense	(182)	(261)	(329)
Payroll tax expense	(77)	(142)	(184)
Start up costs	(90)	(88)	(176)
Consulting fees	(108)	(137)	(166)
Depreciation expense	-	(150)	(150)
Insurance	(31)	(71)	(126)
Office expense	(15)	(83)	(118)
Other operating expenses	(324)	(429)	(460)
Operating expenses	(2,631)	(4,645)	(6,002)
Net operating income	**498**	**1,256**	**1,086**
Management fee income	-	31	44
Sublease income	-	-	4
Other income	-	31	48
Partner salary	(592)	(731)	(687)
Achieve medical - partner salary	(25)	(137)	(150)
Loss - achieve tms los angeles	-	(118)	(125)
Other expenses	(617)	(987)	(962)
Net income	**(118)**	**301**	**172**

Source: Management provided information

Basis of presentation

The combined financial statements include the accounts of Achieve TMS Centers and Achieve TMS Alaska.

The Company's reporting currency is USD and all figures are denominated in USD, unless otherwise noted.

Detailed balance sheet - Combined

				Average		
USD'000	31-Dec-17	31-Dec-18	31-May-19	FY17	FY18	TTM May-19
Bank accounts	78	324	106	61	209	233
Accounts receivable	-	111	21	(1)	30	67
Other current assets	9	55	20	1	119	107
Current assets	86	489	148	61	358	407
Fixed assets	-	-	-	-	63	63
Other assets	20	79	104	11	42	72
Assets	**106**	**568**	**252**	**72**	**462**	**541**
Accounts payable	5	(130)	(65)	1	(51)	(99)
Other current liabilities	(35)	(208)	(71)	2	(53)	(81)
Current liabilities	**(30)**	**(339)**	**(136)**	**3**	**(104)**	**(180)**
Long-term liabilities	(200)	(178)	(156)	(167)	(213)	(202)
Liabilities	(230)	(517)	(292)	(164)	(317)	(382)
Member contributions	(150)	(152)	(152)	(150)	(150)	(151)
Member distributions	-	143	398	-	37	130
Retained earnings	156	258	(43)	156	273	141
Net income	118	(301)	(163)	86	(305)	(279)
Equity	124	(51)	40	92	(145)	(159)
Liabilities and equity	**(106)**	**(568)**	**(252)**	**(72)**	**(462)**	**(541)**

Source: Management provided information

The reported combined balance sheet for Achieve TMS, LLC is presented on income-tax (cash) basis of accounting. For Net Working Capital analysis we have estimated indicative balances on an accrual basis. Refer to "Indicative net working capital" section for further details.

Key findings (1/4)

DRAFT

Topic	Summary observations	Reference
Quality of earnings TTM May-19 reported EBITDA of $0.3 million increases to $1.0 million subsequent to Management adjustments. EBITDA after incremental diligence and pro forma adjustments is $0.7 million.	See below	Page 13-22

Quality of earnings

USD'000	FY17	FY18	TTM May-19
EBITDA, reported	**(92)**	**478**	**332**
EBITDA margin, reported	*(2.9%)*	*8.1%*	*4.7%*
Management adjustments	271	405	659
EBITDA, management adjusted	**178**	**882**	**991**
EBITDA margin, management adjusted	*5.6%*	*14.8%*	*13.8%*
Diligence adjustments	(160)	(113)	(257)
EBITDA, diligence adjusted	**19**	**769**	**734**
EBITDA margin, diligence adjusted	*0.6%*	*12.9%*	*10.2%*

Source: Management provided information

- Significant Management adjustments to TTM May-19 EBITDA include the following:
  - **Non-recurring start-up costs (Increase of $176,000)**: Represents one-time expenditures on renovations and installation of furniture and fixtures for opening and developing new centers.
  - **Payroll adjustment (Increase of $151,000):** Due to cash accounting, reflects excess payroll expense recorded in TTM May-19.
  - **Dissolved LA Joint venture (Increase of $125,000):** Relates to the add-back of operating losses associated with a dissolved joint venture.
- Significant Diligence adjustments to TTM May-19 EBITDA include the following:
  - **Straight line lease expense (Decrease of $171,000):** The Company receives rent-free periods on its TMS chair leases, which are then recorded on a cash basis. This adjustment reflects the impact of run-rating rent expense on a straight line basis and removes the benefit of rent-free periods on historical results.
  - **Reversal of certain Management adjustments (Decrease of $143,000):** The Company has not provided support for certain adjustments including the dissolved LA JV, start-up costs, and other miscellaneous adjustment. We have not accepted the adjustments and reversed out from EBITDA.
  - **Cash to accrual adjustments (Increase of $89,000):** The Company records its revenue and payroll expenses on a cash basis. This adjustment restates them on an accrual basis.

Key findings (2/4)

DRAFT

Topic	Summary observations	Reference
Net working capital ("NWC") *Average indicative adjusted working capital is $0.3 million for the TTM May-19 period.*	See below	Page 24-26

- Historically, the Company maintains its balance sheet accounts on a cash basis. Based on discussions with Management, we have estimated the indicative working capital as summarized below.
- The indicative working capital includes the impact of adjustments identified in Quality of Earnings as well as the estimated impact of cash-to-accrual adjustments.

Net working capital

	As at			Average				
USD'000	31-Dec-17	31-Dec-18	31-May-19	FY17	FY18	T3M May-19	T6M May-19	TTM May-19
Current assets								
Accounts receivable	328	443	521	213	399	486	482	459
Total current assets	328	443	521	213	399	486	482	459
Current liabilities								
Accounts payable	(78)	(114)	(153)	(54)	(92)	(143)	(133)	(117)
Accrued payroll	(17)	(48)	(60)	(19)	(34)	(55)	(49)	(44)
Total current liabilities	(95)	(162)	(214)	(72)	(125)	(198)	(182)	(160)
Net working capital, reported	**233**	**280**	**307**	**140**	**273**	**289**	**300**	**298**
TTM adjusted net sales	3,193	5,971	7,203	3,193	5,971	2,266	3,860	7,203
NWC as a % of TTM adjusted net sales	*7.3%*	*4.7%*	*4.3%*	*4.4%*	*4.6%*	*12.8%*	*7.8%*	*4.1%*

Source: Management provided information

We have identified various sensitivities and average NWC as the Company's historical NWC has been increasing (due to the addition of new centers). For target purposes a more recent period may be more representative.

- The table below presents the Company's indicative working capital ranges and trends to consider for operating line of credit.

NWC seasonality

USD'000	Minimum	Maximum	Range	Avg. NWC
FY17	23	233	210	140
FY18	204	348	144	273
TTM May-19	222	348	125	298

Source: Management provided information

Key findings (3/4)

DRAFT

Topic	Summary observations	Reference
Net (debt) / cash Net debt including debt-like items is $49,000 as at May-19.	■ The Company's net debt as at May 2019 is summarized below: (see table below)	n.a.

Net debt and debt-like considerations		
USD'000	**31-May-19**	**On BS?**
Reported		
1 Cash and cash equivalents	106	✓
2 Due From Inamdar Sheth Prof Med Corp	20	✓
3 Note payable - Cheryl Hodges	(20)	✓
4 Long term debt	(156)	✓
Net debt, reported	**(49)**	
5 Transaction related costs	*n.q.*	
Adjustment to net debt	*n.q.*	
Net debt, including debt-like items	**(49)**	
Other considerations		
a) Replacement capex	*n.q.*	
b) Growth related capex	*n.q.*	

Source: Management provided information

Long term debt primarily comprises of notes payables ($121,000) to certain individuals for capital raised externally and line of credit ($35,000) with Union bank.

- Adjustments to net debt include:
  - **Transaction related costs:** The Company paid $15,000 in TTM May-19 to Raymond James in connection with the current transaction. Incremental transaction costs should be treated as a debt-like item.
- The following include additional net debt considerations identified during due diligence. These items relate to other potential business issues that should be considered in the overall evaluation of the business. In addition, these items may be subjective in nature and as a result, they have not been included in the above schedule.

  a) **Replacement capex:** While the majority of the Company's assets are between 0-3 years old, they are fully depreciated as at May 2019. The cost of replacement capital expenditures required to maintain the current run-rate could be considered a debt-like item.

  b) **Growth related capex:** As per Management 7 new centers are under development and scheduled to be opened by the end of FY19. Start-up costs to get these centers ready could be considered as a debt like item. Historically, Management reports estimated start-up costs between $25,000 - $30,000 for each additional center.

Key findings (4/4)

DRAFT

Issue	Summary observations	Reference
Quality of information *The majority of the Company's finance function is outsourced.* *As a result, a number of information requests remain outstanding.* *Post-transaction, additional costs may be required to improve the operations of the Company's finance function.*	■ The Company's finance function is largely performed by consultants: – An external CPA assists with financial statement preparation (on an income tax basis) and tax filings. – An external bookkeeper enters revenue and expenses monthly into QuickBooks Online (the Company's reporting tool). Revenue is provided by the Company's billing administrator, D&T Billing. – Management represents while revenue is only entered into QuickBooks monthly, the CEO and Chief Marketing Officer receive daily reports of collections. – Invoices are tracked by the Company's Director of Operations and Human Resource and Finance Manager. The invoices are summarized in Excel spreadsheets and provided to the bookkeeper. ■ The Company's financial statements are not audited or reviewed. Consequently, we have undertaken additional analysis outlined in Appendix 5 to corroborate the historical financials used to form the basis of analysis contained in this report, including: – Comparing reported revenues to cash deposits in the bank statements. There are differences noted, primarily showing higher cash deposits than reported revenue. – Comparing reported revenues to the billing company details; and – Comparing reported payroll expenses to Paychex disbursements from the bank statements. There are differences noted, primarily higher payroll expenses than what is recorded. ■ As a result of outsourced finance functions, the Company has struggled to provide information in a timely manner. As of July 31, 2019, the following open items remain which may impact our analysis: – *Supporting details for Management adjustments.* The Company added back a number of expenses which are derived from invoices or other supplementary analysis (e.g. consulting costs, legal costs, etc.). The Company has not been able to produce these underlying details for certain adjustments at the date of this report. – *Outstanding bank statement reconciliations.* The Company has not commented on the outstanding reconciliation items in connection with the reconciliation of payroll to disbursements from the Company's bank statements. ■ Additional costs may be required to improve the operations of the Company's finance function going forward.	n.a.

Quality of Earnings

Quality of Earnings (1/10) - Overview

DRAFT

TTM May-19 reported EBITDA of $0.3 million increases to $1.0 million subsequent to Management adjustments.

Diligence and pro forma adjustments identified during due diligence decreases Management adjusted EBITDA to $0.7 million.

Quality of earnings

USD'000	FY17	FY18	TTM May-19
Net revenue, reported	**3,129**	**5,901**	**7,088**
Diligence adjustment	64	70	115
Net revenue, diligence adjusted	**3,193**	**5,971**	**7,203**
EBITDA, reported	**(92)**	**478**	**332**
EBITDA margin, reported	*(2.9%)*	*8.1%*	*4.7%*
Management adjustments	271	405	659
EBITDA, management adjusted	**178**	**882**	**991**
EBITDA margin, management adjusted	*5.6%*	*14.8%*	*13.8%*
Diligence adjustments	(160)	(113)	(257)
EBITDA, diligence adjusted	**19**	**769**	**734**
EBITDA margin, diligence adjusted	*0.6%*	*12.9%*	*10.2%*

Source: Management provided information

The quality of earnings schedule above illustrates EBITDA adjustments and other factors to be considered which were identified for the fiscal years ended December 31, 2017, 2018, and the trailing twelve month period ended May 31, 2019.

The proposed adjustments are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed adjustments.

Overview

- The quality of earnings analysis is prepared based on the following sources of information:
  - Monthly trial balances;
  - Additional supporting information provided by Management; and
  - Discussions held with Management including, Rick Christie (CEO), Shashita Inamdar (Partner physician), and the Company's external advisors.
- The nature of adjustments included in the quality of earnings analysis are as follows:
  - **Management adjustments:** Non-recurring and non-operating items identified by Management; and
  - **Diligence adjustments:** Non-recurring items identified during the course of diligence and adjustments proposed to Management adjustments.
  - **Other considerations:** Represent potential quality of earnings items which may impact historical and future EBITDA. These items may be subjective in nature and as a result, have not been included in the Quality of Earnings table.
- Significant adjustments are discussed further on the following pages.

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Quality of Earnings (2/10) - Management adjustments

Quality of earnings			
USD'000	**FY17**	**FY18**	**TTM May-19**
Net revenue, reported	**3,129**	**5,901**	**7,088**
Diligence adjustment	64	70	115
Net revenue, diligence adjusted	**3,193**	**5,971**	**7,203**
EBITDA, reported	**(92)**	**478**	**332**
EBITDA margin, reported	*(2.9%)*	*8.1%*	*4.7%*
Management adjustments			
1 Other non-recurring start up costs	90	88	176
2 Payroll adjustment	-	-	151
3 Dissolved LA joint venture	-	118	125
4 One-time consulting fees	108	137	114
5 Other management adjustments	18	14	62
6 Travel expense (start-up costs)	11	48	31
7 FY17 adjustments	44	-	-
Management adjustments	271	405	659
EBITDA, management adjusted	**178**	**882**	**991**
EBITDA margin, management adjusted	*5.6%*	*14.8%*	*13.8%*
Diligence adjustments	(160)	(113)	(257)
EBITDA, diligence adjusted	**19**	**769**	**734**
EBITDA margin, diligence adjusted	*0.6%*	*12.9%*	*10.2%*

Source: Management provided information

Management adjustments

- The following reflect adjustments proposed by Management. We have reversed the adjustments we have not been able to validate.

1. **Non-recurring start-up costs:** Reflects expenses in the historical period in connection with opening and developing new centers. These primarily relate to renovations and installation of furniture and fixtures to get the centers ready for operation. Management considers pre-opening costs as not reflective of the run-rate for the centers and proposes to add these back to EBITDA.
2. **Payroll adjustment:** Reflects an extra pay period in May 2019. The Company pays employees on the 1st and 15th each month. Occasionally the following month's payroll is made in the preceding month if the 1st is a weekend or holiday, as in the case with June 1, 2019. Management added back the June 1, 2019 payroll as a timing adjustment considering there were 25 pay periods in the TTM May-19 period.
3. **Dissolved LA Joint venture:** In FY18, the Company collaborated with Calabasas Behavioral Health to form a joint venture "TMS Achieve LA", a separate LLC managed by Achieve TMS. Due to operational inefficiencies, the venture incurred losses and the Company elected to dissolve the venture in FY18. The proposed adjustment adds-back the losses related to TMS Achieve LA. Management represents there are no further expenses related to this venture going forward.
   - We have reversed a portion ($7,000) of this in adjustment #16 as Management has not provided supporting details to validate the quantum of the add back.
4. **One-time consulting fees:** The Company hired "ECG Management", a consulting firm to negotiate contractual terms with the commercial insurance payors in California, Oregon and Alaska. Management represents all the contracts with the major commercial payors are already in place and there will be no future costs required to extend these contracts for any new locations in future. As such, the Company views these expenses as non-recurring and proposed an add back.

   In addition to above, the Company paid legal expenses to its advisors ("Jones Walker LLP") for which no supporting evidence or context has been provided at the date of this report.
   - Management's proposed adjustment removes a significant portion of the Company's consulting expense. We have applied an incremental negative adjustment – see adjustment #11 for additional detail.

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Quality of Earnings (3/10) - Management adjustments

Quality of earnings			
USD'000	FY17	FY18	TTM May-19
Net revenue, reported	**3,129**	**5,901**	**7,088**
Diligence adjustment	64	70	115
Net revenue, diligence adjusted	**3,193**	**5,971**	**7,203**
EBITDA, reported	**(92)**	**478**	**332**
EBITDA margin, reported	*(2.9%)*	*8.1%*	*4.7%*
Management adjustments			
1 Other non-recurring start up costs	90	88	176
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3 Dissolved LA joint venture	-	118	125
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6 Travel expense (start-up costs)	11	48	31
7 FY17 adjustments	44	-	-
Management adjustments	271	405	659
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Diligence adjustments	(160)	(113)	(257)
EBITDA, diligence adjusted	**19**	**769**	**734**
EBITDA margin, diligence adjusted	*0.6%*	*12.9%*	*10.2%*

Source: Management provided information

Management adjustments (continued)

5. **Other management adjustments:** Other management adjustments include various items. However, Management has not provided support on majority of these items, as such, they have been reversed in adjustment #10:

Other management adjustments				
USD'000	FY17	FY18	TTM May-19	Reversed
a) Deferred partner salary adjustment	-	-	23	Y
b) Management fee	-	-	13	Y
c) Prepaid insurance adjustment	-	-	10	Y
d) Non-recurring legal fees	18	14	7	Y
e) Non-recurring interest expense	-	-	5	Y
f) Professional fee adjustment	-	-	5	Y
g) Tax amortization	-	-	1	Y
Total	**18**	**14**	**62**	

Source: Management provided information

a) **Deferred partner salary:** The Company paid outstanding salary of $23,000 to one of its partners (Shashita Inamdar) in May 2019. Management adds-back the salary in TTM May-19 period on the basis that it relates to FY16 but was paid in FY19. We are unable to validate the reason for delay in payment hence, this adjustment is reversed.

b) **Management fee:** TMS Alaska pays monthly Management fees to Achieve TMS Centers, LLC which is recognized as a corresponding expense and income, respectively, and eliminates on consolidation. Management proposed to add-back $13,000 of such fees in YTD May-19 but the expense is eliminated upon TB consolidation in this period. At the date of this report, Management has not provided context to support the add-back. As such, this adjustment is reversed.

c) **Prepaid insurance adjustment:** The Company has prepaid for one year of malpractice insurance and recorded the expense in the P&L on a cash basis. This adjustment relates to the timing of payments. As Management has not provided support to verify that no offsetting adjustment exists at the beginning of the period, this adjustment is reversed.

d) **Non-recurring legal fees:** The company adds-back legal expenses incurred in the process of completing the necessary documentation and LLC formation of the new TMS Centers. Expenses incurred in FY17 largely pertain to the development of new TMS Centers, while expenses in FY18 and TTM May-19 relate to TMS Alaska.

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Quality of Earnings (4/10) - Management adjustments

Quality of earnings			
USD'000	FY17	FY18	TTM May-19
Net revenue, reported	**3,129**	**5,901**	**7,088**
Diligence adjustment	64	70	115
Net revenue, diligence adjusted	**3,193**	**5,971**	**7,203**
EBITDA, reported	**(92)**	**478**	**332**
EBITDA margin, reported	*(2.9%)*	*8.1%*	*4.7%*
Management adjustments			
1 Other non-recurring start up costs	90	88	176
2 Payroll adjustment	-	-	151
3 Dissolved LA joint venture	-	118	125
4 One-time consulting fees	108	137	114
5 Other management adjustments	18	14	62
6 Travel expense (start-up costs)	11	48	31
7 FY17 adjustments	44	-	-
Management adjustments	271	405	659
EBITDA, management adjusted	**178**	**882**	**991**
EBITDA margin, management adjusted	*5.6%*	*14.8%*	*13.8%*
Diligence adjustments	(160)	(113)	(257)
EBITDA, diligence adjusted	**19**	**769**	**734**
EBITDA margin, diligence adjusted	*0.6%*	*12.9%*	*10.2%*

Source: Management provided information

Management adjustments (continued)

5. **Other management adjustments (continued)**

e) **Non-recurring interest expense:** Interest expenses are added-back as a part of definitional adjustments to EBITDA. However, Management proposed an additional adjustment but did not provide any context on why such expenses should be added-back again. Hence, this adjustment is reversed to avoid double counting.

f) **Professional fee adjustment:** Management represents this adjustment relates to professional fees paid to the partners. At the date of this report, Management has not provided any context on the nature of the fees paid. Hence, this adjustment is reversed.

g) **Tax amortization:** Amortization expenses are added-back as a part of definitional adjustments to EBITDA. However, Management proposed an additional adjustment but did not provide any context on why such expenses should be added-back again. Hence, this adjustment is reversed to avoid double counting.

6. **Travel expenses:** The Management adds-back travel expenses incurred in relation to the development of new TMS Centers primarily located in Alaska. These travel expenses relate to site visits during the construction and set-up of new centers, which Management considers to be non-recurring in nature. We have reversed a portion of this add back - see adjustment #15 for additional detail.

7. **FY17 adjustments:** The following are Management's FY17 adjustments, however, management has not provided support to validate the nature and composition of the add-backs. As such, these adjustments are reversed in adjustment #18.

FY17 adjustments				
USD'000	FY17	FY18	TTM May-19	Reversed
a) Marketing start up costs	25	-	-	Y
b) Employee reimbursement start up costs	19	-	-	Y
Total	**44**	**-**	**-**	

Source: Management provided information

a) **Marketing start up costs:** The Company adds-back expenses incurred for marketing collateral (e.g., signage, table runners, and print material) purchased during the Company's inception. These marketing costs are incurred entirely during the Company's operating ramp-up period and are not expected to be incurred in the future.

b) **Employee reimbursement:** Management adds-back reimbursed employee out of pocket expenses related to training which were incurred during development of new centers. Management represents these costs are non-recurring in nature and are not expected to be incurred in future.

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Quality of Earnings (5/10) - Diligence adjustments

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Quality of earnings			
USD'000	FY17	FY18	TTM May-19
Net revenue, reported	**3,129**	**5,901**	**7,088**
Diligence adjustment			
9 Cash to accrual revenue	64	70	115
Diligence adjustment	64	70	115
Net revenue, diligence adjusted	**3,193**	**5,971**	**7,203**
EBITDA, reported	**(92)**	**478**	**332**
EBITDA margin, reported	*(2.9%)*	*8.1%*	*4.7%*
Management adjustments	271	405	659
EBITDA, management adjusted	**178**	**882**	**991**
EBITDA margin, management adjusted	*5.6%*	*14.8%*	*13.8%*
Diligence adjustments			
8 Straight line lease expense	(121)	(87)	(171)
9 Cash to accrual adjustments	65	39	89
10 Other management adjustments	(18)	(14)	(62)
11 One-time consulting fees	(54)	(69)	(57)
12 Audit fees	(35)	(35)	(35)
13 Account management fees	58	10	29
14 Management fees	-	(26)	(26)
15 Travel expense (start-up costs)	(11)	(32)	(18)
16 Dissolved LA joint venture	-	-	(7)
17 Payroll correction adjustment	-	101	-
18 FY17 adjustments	(44)	-	-
Diligence adjustments	(160)	(113)	(257)
EBITDA, diligence adjusted	**19**	**769**	**734**
EBITDA margin, diligence adjusted	*0.6%*	*12.9%*	*10.2%*

Source: Management provided information

Diligence adjustments

8. **Straight line lease expense:** The Company receives rent-free periods on its TMS chair leases from Brainsway and records rent on a cash basis. This adjustment reflects the impact of recording lease expenses on a straight line basis and removes the benefit of rent-free periods in historical results.

Straight line lease expense adjustment			
USD'000	FY17	FY18	TTM May-19
Equipment lease, reported	(323)	(646)	(740)
Straight line rent	(444)	(734)	(911)
EBITDA adjustment	**(121)**	**(87)**	**(171)**

Source: Management provided information

9. **Cash to accrual adjustments:** This adjustment restates the following items from cash basis to accrual basis:

   a) **Cash to accrual revenue:** The Company records revenue on a cash basis (i.e. the cash collections for the month are recorded as revenue irrespective of when the services were provided). This adjustment restates revenue on an accrual basis considering the date when services were provided. Refer to Appendix 4 for further details.

Cash to accrual revenue adjustment			
USD'000	FY17	FY18	TTM May-19
Revenue, reported	3,125	5,901	7,094
Achieve centers	3,189	5,347	5,830
Alaska	-	625	1,379
Revenue, accrual basis (per cash waterfall)	3,189	5,972	7,208
Cash to accrual adjustment	**64**	**70**	**115**
Cash to accrual adjustment as a % of reported revenue	*2.1%*	*1.2%*	*1.6%*

Source: Management provided information

   b) **Cash to accrual payroll:** This adjustment reflects the estimated cash to accrual impact relating to payroll expenses. We understand that the Company pays its employees on the 1st (for service from the 11th to 25th of the prior month) and 15th (for service from the 26th to the 10th). This adjustment estimates the accrued payroll expenses between the 26th and month end.

Quality of Earnings (6/10) - Diligence adjustments

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Quality of earnings			
USD'000	FY17	FY18	TTM May-19
Net revenue, reported	**3,129**	**5,901**	**7,088**
Diligence adjustment			
9 Cash to accrual revenue	64	70	115
Diligence adjustment	64	70	115
Net revenue, diligence adjusted	**3,193**	**5,971**	**7,203**
EBITDA, reported	**(92)**	**478**	**332**
EBITDA margin, reported	*(2.9%)*	*8.1%*	*4.7%*
Management adjustments	271	405	659
EBITDA, management adjusted	**178**	**882**	**991**
EBITDA margin, management adjusted	*5.6%*	*14.8%*	*13.8%*
Diligence adjustments			
8 Straight line lease expense	(121)	(87)	(171)
9 Cash to accrual adjustments	65	39	89
10 Other management adjustments	(18)	(14)	(62)
11 One-time consulting fees	(54)	(69)	(57)
12 Audit fees	(35)	(35)	(35)
13 Account management fees	58	10	29
14 Management fees	-	(26)	(26)
15 Travel expense (start-up costs)	(11)	(32)	(18)
16 Dissolved LA joint venture	-	-	(7)
17 Payroll correction adjustment	-	101	-
18 FY17 adjustments	(44)	-	-
Diligence adjustments	(160)	(113)	(257)
EBITDA, diligence adjusted	**19**	**769**	**734**
EBITDA margin, diligence adjusted	*0.6%*	*12.9%*	*10.2%*

Source: Management provided information

Diligence adjustments (continued)

9. **Cash to accrual adjustments (continued):** This adjustment restates the following items from cash basis to accrual basis:

Cash to accrual payroll adjustment			
USD'000	FY17	FY18	TTM May-19
Payroll expenses - Achieve	(1,229)	(1,903)	(2,367)
Payroll expenses - Alaska	-	(298)	(588)
Payroll expenses, reported	**(1,229)**	**(2,200)**	**(2,955)**
May-19 extra pay period	-	-	151
Correction of Dec-18 / Jan-19 top-side	-	101	-
Payroll expenses recast for semi-monthly	**(1,229)**	**(2,099)**	**(2,803)**
Estimated payroll accrual	**(17)**	**(48)**	**(60)**
Adjustment	**1**	**(31)**	**(25)**

Source: Management provided information

Note: Reported payroll expenses exclude partner compensation.

Reported payroll expense are adjusted for QofE adjustment # 2 & 15 to calculate accrual.

10. **Other management adjustments:** This adjustment reverses Management's proposed adjustment #5, representing expenses that Management considered to be non-recurring in nature. As Management has not provided adequate support to add back these expenses, we have fully reversed this adjustment.

11. **One-time consulting fees:** Management added-back a significant portion of consulting costs on the basis that these are non-recurring in nature (see adjustment #4). However, no support has been provided to validate recurring portion of consulting fees. Furthermore, Management indicated that the Company expects to incur an on-going cost related to charges for ad hoc questions to their consultants. Therefore, we have reversed 50% of the Management's proposed adjustment assuming such portion relates to recurring fees.

Consulting fees			
USD'000	FY17	FY18	TTM May-19
Consulting fees, reported	(108)	(137)	(166)
Management adjustments	108	137	114
Consulting fees, Management adjusted	**-**	**-**	**(52)**
Diligence adjustment	(54)	(69)	(57)
Consulting fees, diligence adjusted	**(54)**	**(69)**	**(109)**

Source: Management provided information

Management indicated $52,000 incremental consulting fees in TTM May-19 is related to digital marketing and HR consultant expenses primarily incurred at TMS centers of Alaska.

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Quality of Earnings (7/10) - Diligence adjustments

Quality of earnings			
USD'000	FY17	FY18	TTM May-19
Net revenue, reported	**3,129**	**5,901**	**7,088**
Diligence adjustment			
9 Cash to accrual revenue	64	70	115
Diligence adjustment	64	70	115
Net revenue, diligence adjusted	**3,193**	**5,971**	**7,203**
EBITDA, reported	**(92)**	**478**	**332**
EBITDA margin, reported	*(2.9%)*	*8.1%*	*4.7%*
Management adjustments	271	405	659
EBITDA, management adjusted	**178**	**882**	**991**
EBITDA margin, management adjusted	*5.6%*	*14.8%*	*13.8%*
Diligence adjustments			
8 Straight line lease expense	(121)	(87)	(171)
9 Cash to accrual adjustments	65	39	89
10 Other management adjustments	(18)	(14)	(62)
11 One-time consulting fees	(54)	(69)	(57)
12 Audit fees	(35)	(35)	(35)
13 Account management fees	58	10	29
14 Management fees	-	(26)	(26)
15 Travel expense (start-up costs)	(11)	(32)	(18)
16 Dissolved LA joint venture	-	-	(7)
17 Payroll correction adjustment	-	101	-
18 FY17 adjustments	(44)	-	-
Diligence adjustments	(160)	(113)	(257)
EBITDA, diligence adjusted	**19**	**769**	**734**
EBITDA margin, diligence adjusted	*0.6%*	*12.9%*	*10.2%*

Source: Management provided information

Diligence adjustments (continued)

12. **Audit fees:** The Company's financials are not audited or reviewed historically. We have estimated $35,000 of potential audit fees for indicative purposes.
13. **Account management fees:** The processing and filing of insurance claims from governmental and commercial payors is outsourced to D&T billing. Effective June 1, 2019, the Company pays a monthly account management fees to D&T Billing based on total collections each month. Refer to table below for calculation of fees.

Account management fees			
USD'000	FY17	FY18	TTM May-19
Account management fees, reported	(243)	(339)	(407)
Account management fees	(185)	(329)	(377)
EBITDA adjustment	**58**	**10**	**29**

Collection fee rate	
Collections	Rate
$0 - $400,000	*6.0%*
$401,000 - $800,000	*4.0%*
> $801,000	*3.0%*

Source (all): Management provided information

The proposed adjustment reflects the EBITDA impact of new collection fee arrangement as if it had been in place throughout the historical period.

14. **Management fees:** TMS Alaska pays monthly Management fees to Achieve TMS Centers, LLC which is recognized as a corresponding expense and income, respectively, and eliminates on consolidation. In FY18, Achieve TMS reported management fee income of $26,000 for which there was no corresponding expense reported in TMS Alaska. Therefore, the proposed adjustment reduces EBITDA with the amount of unrecognized management fee expense.
15. **Travel expense (start-up costs):** Management added-back a significant portion of travel expenses on the basis that these are start-up costs (see adjustment #6). However, no support has been provided to validate such expenses in FY17 and certain travel expenses in FY18 relate to Mr. Richard Christie's (CEO) travel expenses and annual conference which should be considered recurring expenses. We have included these expenses in EBITDA.

Quality of Earnings (8/10) - Diligence adjustments

Quality of earnings			
USD'000	FY17	FY18	TTM May-19
Net revenue, reported	**3,129**	**5,901**	**7,088**
Diligence adjustment			
9 Cash to accrual revenue	64	70	115
Diligence adjustment	64	70	115
Net revenue, diligence adjusted	**3,193**	**5,971**	**7,203**
EBITDA, reported	**(92)**	**478**	**332**
EBITDA margin, reported	*(2.9%)*	*8.1%*	*4.7%*
Management adjustments	271	405	659
EBITDA, management adjusted	**178**	**882**	**991**
EBITDA margin, management adjusted	*5.6%*	*14.8%*	*13.8%*
Diligence adjustments			
8 Straight line lease expense	(121)	(87)	(171)
9 Cash to accrual adjustments	65	39	89
10 Other management adjustments	(18)	(14)	(62)
11 One-time consulting fees	(54)	(69)	(57)
12 Audit fees	(35)	(35)	(35)
13 Account management fees	58	10	29
14 Management fees	-	(26)	(26)
15 Travel expense (start-up costs)	(11)	(32)	(18)
16 Dissolved LA joint venture	-	-	(7)
17 Payroll correction adjustment	-	101	-
18 FY17 adjustments	(44)	-	-
Diligence adjustments	(160)	(113)	(257)
EBITDA, diligence adjusted	**19**	**769**	**734**
EBITDA margin, diligence adjusted	*0.6%*	*12.9%*	*10.2%*

Source: Management provided information

Diligence adjustments (continued)

16. **Dissolved LA Joint Venture:** This adjustment reverses a portion of LA Joint Venture losses (see adjustment #3) related to unpaid taxes and CT Corporation annual filling fees as Management has not provided any support to validate the add-back.
17. **Payroll correction adjustment:** We understand that a top-side entry was booked to move payroll expenses from Jan 2019 to Dec 2018. We have reversed a portion of this top-side entry based on disbursements to Paychex from the bank statements to keep a consistent cash-basis reported payroll expense (which is then used to estimate the adjustment to accrual-basis payroll expense).
18. **FY17 adjustments:** Management has added-back expenses incurred in FY17 relating to marketing expenses and employee reimbursements incurred during the operational ramp-up of the business. As Management has not provided support for these expenses, we reversed Management's adjustment.

Quality of Earnings (9/10) - Other considerations

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Other considerations			
USD'000	FY17	FY18	TTM May-19
a) Center break-even	-	50	231
b) Partner salary	*n.q*	*n.q*	*n.q*
c) Cash to accrual expenses	*n.q*	*n.q*	*n.q*
d) Vacation accrual	*n.q*	*n.q*	*n.q*
e) Employee benefits	*n.q*	*n.q*	*n.q*
f) Bank reconciliation	*n.q*	*n.q*	*n.q*
g) Account management fees	*n.q*	*n.q*	*n.q*
Total	***n.q***	**50**	**231**

Source: Management provided information

Other considerations

- The following includes potential quality of earnings considerations identified during due diligence. These items relate to other potential business issues that should be considered in the overall evaluation of the business. In addition, these items may be subjective in nature and as a result, they have not been included in the quality of earnings schedule.

a) **Center break-even:** Based on historical results for existing centers, locations break even when there are approximately 4-5 patients undergoing treatment. The table below summarizes the indicative EBITDA impact if the current loss-making centers with less than four patients starts operating at break-even levels. We have not estimated the run-rate gross margin contribution for these centers as profitability varies amongst mature locations and is dependent on patient volumes and nature of treatment.

Center break-even	EBITDA, reported (including start-up costs)			Start-up costs			EBITDA, reported (less start-up costs)			Average patients		
USD'000	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19
Temecula	-	(60)	(106)	-	(17)	(18)	-	(43)	(88)	*n.q*	2	3
Riverside	-	(7)	(46)	-	(6)	(6)	-	(1)	(40)	*n.q*	-	2
Huntington Beach	-	-	(20)	-	-	(6)	-	-	(14)	*n.q*	-	1
Irvine	-	-	(31)	-	-	(7)	-	-	(24)	*n.q*	-	1
Fairbanks	-	(7)	(65)	-	-	-	-	(7)	(65)	*n.q*	-	1
Total centers	**-**	**(74)**	**(268)**	**-**	**(23)**	**(37)**	**-**	**(50)**	**(231)**	***n.q***	**2**	**7**

Source: Management provided information

b) **Partner salary:** The Partners of the Company are currently compensated through Partner draws based on operating results of the business. As such, no formal compensation structure exists for the Company's partners. A revised compensation plan post-transaction may impact the Company's operating results. Refer to table below for historical partner compensation.

Summary of partner salary			
USD'000	FY17	FY18	TTM May-19
Partner salary, reported			
Partner salary - Manish	(263)	(423)	(398)
Partner salary - Shashita	(125)	(175)	(179)
Partner salary - Rick	(229)	(271)	(260)
Total	**(617)**	**(868)**	**(837)**

Source: Management provided information

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Quality of Earnings (10/10) - Other considerations

Other considerations

USD'000		FY17	FY18	TTM May-19
a)	Center break-even	-	50	231
b)	Partner salary	*n.q*	*n.q*	*n.q*
c)	Cash to accrual expenses	*n.q*	*n.q*	*n.q*
d)	Vacation accrual	*n.q*	*n.q*	*n.q*
e)	Employee benefits	*n.q*	*n.q*	*n.q*
f)	Bank reconciliation	*n.q*	*n.q*	*n.q*
g)	Account management fees	*n.q*	*n.q*	*n.q*
Total		***n.q***	**50**	**231**

Source: Management provided information

Other considerations (continued

c) **Cash to accrual expenses:** Management represents that the Company pays its expenses within 30 days of receiving the invoice and there is an attempt to keep the balances current. While we assume that expenses related to the current month are recorded in the next month (i.e. expenses incurred in the month of January 2019 will be recorded in February 2019), information supporting the exact timing is not available. As such, the cash-to-accrual impact of expenses is not quantified at this time.

d) **Vacation accrual:** Management represents non-exempt employees receive 3.3 vacation hours per pay period while full-time employees are entitled to 2 weeks of vacation per calendar year. The unused vacation up to 1 week is carried forward to next year while departing employees get accrued vacation days paid out. However, the Company does not record an accrual for the accrued vacation days. This is a potential liability that will be absorbed post-transaction.

e) **Employee benefits:** The Company currently provides employee benefits such as accrued vacation pay-out for departing employees, health insurance and 401k contribution. Costs related to such items is a potential liability that will be absorbed post-transaction.

f) **Bank reconciliation:** We have obtained the bank statements for Achieve TMS and TMS Alaska for the purposes of reconciling the Company's revenue and payroll expenses to deposits and withdrawals respectively. At the date of this report, we have unreconciled differences. Refer to Appendix 5 for details.

g) **Account management fees:** To the extent that Client's billings and collections administration fees are lower than the Company's, incremental cost savings may be realized post-transaction.

Indicative net working capital

Indicative net working capital (1/3)

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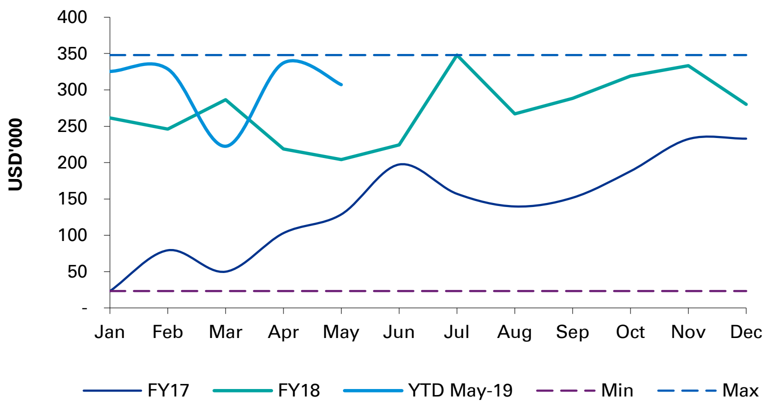
The table below presents the Company's indicative net working capital. TTM May-19 average net working capital is $0.3 million.

Net working capital

	As at			Average				
USD'000	31-Dec-17	31-Dec-18	31-May-19	FY17	FY18	T3M May-19	T6M May-19	TTM May-19
Current assets								
Accounts receivable	328	443	521	213	399	486	482	459
Total current assets	328	443	521	213	399	486	482	459
Current liabilities								
Accounts payable	(78)	(114)	(153)	(54)	(92)	(143)	(133)	(117)
Accrued payroll	(17)	(48)	(60)	(19)	(34)	(55)	(49)	(44)
Total current liabilities	(95)	(162)	(214)	(72)	(125)	(198)	(182)	(160)
Net working capital, reported	**233**	**280**	**307**	**140**	**273**	**289**	**300**	**298**
TTM adjusted net sales	*3,193*	*5,971*	*7,203*	*3,193*	*5,971*	*2,266*	*3,860*	*7,203*
NWC as a % of TTM adjusted net sales	*7.3%*	*4.7%*	*4.3%*	*4.4%*	*4.6%*	*12.8%*	*7.8%*	*4.1%*
Other considerations								
a) Prepaid expenses	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*
b) Accrued vacation	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*

Source: Management provided information

Adjusted net working capital seasonality



Year-over-year increase in net working capital is primarily driven by accounts receivable as the Company continues to open new centers and accept additional patients.

Overview

- As the Company's trial balances reflect cash basis accounting, we have estimated an indicative working capital based on certain assumptions:
  - To calculate accounts payables we have considered adjusted operating expenses net of any non-cash items (depreciation), payroll expenses and prepaid expenses (rent / lease) and applied a DPO of 30 days.
- See Appendix 3 for a detailed build-up by account. Note any change with the assumptions applied may alter the analysis accordingly.

Working capital items

1. **Accounts receivable:** Represents the balance of uncollected cash payments for each reporting service month combined with any estimated future collections related to that month. Refer to Appendix 3 for the detailed build-up.

Accounts receivables

	As at			Average		
USD'000	31-Dec-17	31-Dec-18	31-May-19	FY17	FY18	TTM May-19
Calculated AR						
Waterfall AR	328	361	398	213	352	357
Estimated AR	-	-	34	-	-	4
TMS Achieve	328	361	432	213	352	360
Waterfall AR	-	81	86	-	47	98
Estimated AR	-	-	3	-	-	0
TMS Alaska	-	81	89	-	47	98
Total AR	**328**	**443**	**521**	**213**	**399**	**459**

Source: Management provided information

2. **Accounts payable:** Represents the Company's estimated accounts payable balances at each reporting date. We have estimated the Company's accounts payable balances based on adjusted operating expenses and an estimated DPO of 30 days.

Indicative net working capital (2/3)

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Net working capital	As at			Average				
USD'000	31-Dec-17	31-Dec-18	31-May-19	FY17	FY18	T3M May-19	T6M May-19	TTM May-19
Current assets								
Accounts receivable	328	443	521	213	399	486	482	459
Total current assets	328	443	521	213	399	486	482	459
Current liabilities								
Accounts payable	(78)	(114)	(153)	(54)	(92)	(143)	(133)	(117)
Accrued payroll	(17)	(48)	(60)	(19)	(34)	(55)	(49)	(44)
Total current liabilities	(95)	(162)	(214)	(72)	(125)	(198)	(182)	(160)
Net working capital, reported	**233**	**280**	**307**	**140**	**273**	**289**	**300**	**298**
TTM adjusted net sales	3,193	5,971	7,203	3,193	5,971	2,266	3,860	7,203
NWC as a % of TTM adjusted net sales	*7.3%*	*4.7%*	*4.3%*	*4.4%*	*4.6%*	*12.8%*	*7.8%*	*4.1%*
Other considerations								
a) Prepaid expenses	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*
b) Accrued vacation	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*

Source: Management provided information

Working capital items (continued)

2. **Accounts payable (continued):**

Accounts payable	As at			Average		
USD'000	31-Dec-17	31-Dec-18	31-May-19	FY17	FY18	TTM May-19
Accounts payable calculation						
Operating expense to consider for AP	(80)	(118)	(158)	(54)	(93)	(118)
Assumed DPO	30	30	30	30	30	30
Accounts payable	**(78)**	**(114)**	**(153)**	**(54)**	**(92)**	**(117)**

Source: Management provided information

Refer to Appendix 3 for detailed calculation of the estimated accounts payable.

3. **Accrued payroll:** This adjustment reflects the estimated payroll liability if the Company were to report on an accrual basis. The indicative estimate is based on applying the Company's payroll pay dates and corresponding cash payroll costs.

Payroll accrual			
USD'000	FY17	FY18	TTM May-19
Payroll expenses - Achieve	(1,229)	(1,903)	(2,367)
Payroll expenses - Alaska	-	(298)	(588)
Payroll expenses, reported	**(1,229)**	**(2,200)**	**(2,955)**
May-19 extra pay period	-	-	151
Correction of Dec-18 / Jan-19 top-side	-	101	-
Payroll expenses recast for semi-monthly	**(1,229)**	**(2,099)**	**(2,803)**
Payroll accrual (As at)	**Dec-17**	**Dec-18**	**May-19**
Estimated payroll accrual	**(17)**	**(48)**	**(60)**

Reported payroll expense are adjusted for QofE adjustment # 2 & 15 to calculate accrual.

Source: Management provided information
Note: Reported payroll expenses exclude partner compensation

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Indicative net working capital (3/3)

Net working capital

USD'000	As at 31-Dec-17	As at 31-Dec-18	As at 31-May-19	Average FY17	Average FY18	Average T3M May-19	Average T6M May-19	Average TTM May-19
Current assets								
Accounts receivable	328	443	521	213	399	486	482	459
Total current assets	328	443	521	213	399	486	482	459
Current liabilities								
Accounts payable	(78)	(114)	(153)	(54)	(92)	(143)	(133)	(117)
Accrued payroll	(17)	(48)	(60)	(19)	(34)	(55)	(49)	(44)
Total current liabilities	(95)	(162)	(214)	(72)	(125)	(198)	(182)	(160)
Net working capital, reported	**233**	**280**	**307**	**140**	**273**	**289**	**300**	**298**
TTM adjusted net sales	3,193	5,971	7,203	3,193	5,971	2,266	3,860	7,203
NWC as a % of TTM adjusted net sales	*7.3%*	*4.7%*	*4.3%*	*4.4%*	*4.6%*	*12.8%*	*7.8%*	*4.1%*
Other considerations								
a) Prepaid expenses	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*
b) Accrued vacation	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*	*n.q*

Source: Management provided information

Other considerations

a) **Prepaid expenses:** Management represents that the Company pays for its insurance expenses on month to month basis on 20th of each month. Similarly, rent and equipment leases are paid monthly on 1st of each month. There is no significant prepaid balance. Hence, we have not quantified prepaid expenses.

b) **Accrued vacation**: Management represents non-exempt employees receive 3.3 vacation hours per pay period while full-time employees are entitled to 2 weeks of vacation per calendar year. The unused vacation up to 1 week is carried forward to next year while departing employees get accrued vacation days paid out. The Company does not record an accrual for the accrued vacation days.

Accrual for vacation days can not be calculated on a monthly basis as summary of monthly accrued vacation days is still outstanding at the date of this report. However, Management provided the total accrued vacation balance by employee. Refer to the table below for estimated accrual as at May 31st, 2019.

Accrued vacation as at 31-May-2019

USD'000	Hours accrued (Actual)	Accrual (USD'000)
Salaried	896	(56)
Hourly	773	(14)
Total	**1,668**	**(69)**

Source: Management provided information

Appendices

1. Summary adjusted financial statements
2. Summary by center – Achieve TMS and TMS Alaska
3. Indicative working capital build-up
4. Cash to accrual revenue
5. Reconciliations
6. Fixed assets summary
7. Payroll analysis – Achieve TMS centers
8. Engagement letter procedures

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Summary adjusted income statement - Accrual basis

The table below presents the Company’s reported income statement on an adjusted accrual basis. Total adjustments include management, diligence and cash to accrual adjustments.

The adjacent table presents the Company’s adjusted income statement for each respective period.

Total adjustments include management, diligence and cash to accrual adjustments.

Adjusted income statement

	Reported			Total adjustments			Adjusted (Accrual basis)		
USD'000	**FY17**	**FY18**	**TTM May-19**	**FY17**	**FY18**	**TTM May-19**	**FY17**	**FY18**	**TTM May-19**
Collections	3,096	5,865	7,061	64	70	115	3,160	5,935	7,176
Other income	29	37	32	-	-	-	29	37	32
Refunds	4	(0)	(5)	-	-	-	4	(0)	(5)
Income	3,129	5,901	7,088	64	70	115	3,193	5,971	7,203
Payroll expenses	(739)	(1,443)	(1,852)	1	70	66	(737)	(1,373)	(1,786)
Equipment lease	(323)	(646)	(740)	(121)	(87)	(171)	(444)	(734)	(911)
Physician services	(268)	(475)	(810)	-	-	19	(268)	(475)	(791)
Advertising & marketing expenses	(231)	(381)	(486)	-	-	-	(231)	(381)	(486)
Account management fees	(243)	(339)	(407)	58	10	29	(185)	(329)	(377)
Rent/lease expense	(182)	(261)	(329)	-	-	-	(182)	(261)	(329)
Payroll tax expense	(77)	(142)	(184)	-	-	9	(77)	(142)	(174)
Insurance	(31)	(71)	(126)	-	-	-	(31)	(71)	(126)
Consulting fees	(108)	(137)	(166)	54	69	57	(54)	(69)	(109)
Office expense	(15)	(83)	(118)	-	-	2	(15)	(83)	(116)
Other operating expenses	(414)	(666)	(785)	55	68	155	(359)	(598)	(630)
Operating expenses	(2,631)	(4,645)	(6,002)	47	129	166	(2,584)	(4,516)	(5,836)
Net operating income	**498**	**1,256**	**1,087**	**111**	**200**	**280**	**609**	**1,456**	**1,367**
Management fee income	-	31	44	-	(26)	(26)	-	5	18
Sublease income	-	-	4	-	-	-	-	-	4
Other income	-	31	48	-	(26)	(26)	-	5	22
Partner salary	(592)	(731)	(687)	-	-	29	(592)	(731)	(658)
Achieve medical - partner salary	(25)	(137)	(150)	-	-	-	(25)	(137)	(150)
Loss - achieve tms los angeles	-	(118)	(125)	-	118	118	-	-	(7)
Other expenses	(617)	(987)	(962)	-	118	147	(617)	(868)	(815)
Net income	**(118)**	**301**	**173**	**111**	**292**	**401**	**(8)**	**592**	**574**
EBITDA									
Interest	1	13	5	-	-	-	1	13	5
Income taxes	26	13	3	-	-	-	26	13	3
Depreciation	-	150	150	-	-	-	-	150	150
Amortization	-	1	2	-	-	-	-	1	2
EBITDA	**(92)**	**478**	**332**	**111**	**292**	**401**	**19**	**769**	**734**

Source: Management provided information

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Summary adjusted income statement - Cash basis

The table below presents the Company's reported income statement on an adjusted cash basis. Total adjustments include management and diligence adjustments but **exclude** cash-to-accrual adjustments.

The adjacent table presents the Company's adjusted income statement on a cash basis for each respective period.

Total adjustments include management and diligence adjustments but excludes cash to accrual adjustments.

Adjusted income statement - Cash basis

	Reported			Total adjustments			Adjusted (Cash basis)		
USD'000	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19
Collections	3,096	5,865	7,061	-	-	-	3,096	5,865	7,061
Other income	29	37	32	-	-	-	29	37	32
Refunds	4	(0)	(5)	-	-	-	4	(0)	(5)
Income	3,129	5,901	7,088	-	-	-	3,129	5,901	7,088
Payroll expenses	(739)	(1,443)	(1,852)	-	101	91	(739)	(1,342)	(1,761)
Physician services	(268)	(475)	(810)	-	-	19	(268)	(475)	(791)
Equipment lease	(323)	(646)	(740)	-	-	-	(323)	(646)	(740)
Advertising & marketing expenses	(231)	(381)	(486)	-	-	-	(231)	(381)	(486)
Account management fees	(243)	(339)	(407)	58	10	29	(185)	(329)	(377)
Rent/lease expense	(182)	(261)	(329)	-	-	-	(182)	(261)	(329)
Payroll tax expense	(77)	(142)	(184)	-	-	9	(77)	(142)	(174)
Insurance	(31)	(71)	(126)	-	-	-	(31)	(71)	(126)
Office expense	(15)	(83)	(118)	-	-	2	(15)	(83)	(116)
Consulting fees	(108)	(137)	(166)	54	69	57	(54)	(69)	(109)
Other operating expenses	(414)	(666)	(785)	55	68	155	(359)	(598)	(630)
Operating expenses	(2,631)	(4,645)	(6,002)	167	248	362	(2,464)	(4,398)	(5,639)
Net operating income	**498**	**1,256**	**1,087**	**167**	**248**	**362**	**665**	**1,504**	**1,449**
Management fee income	-	31	44	-	(26)	(26)	-	5	18
Sublease income	-	-	4	-	-	-	-	-	4
Other income	-	31	48	-	(26)	(26)	-	5	22
Partner salary	(592)	(731)	(687)	-	-	29	(592)	(731)	(658)
Achieve medical - partner salary	(25)	(137)	(150)	-	-	-	(25)	(137)	(150)
Loss - achieve tms los angeles	-	(118)	(125)	-	118	118	-	-	(7)
Other expenses	(617)	(987)	(962)	-	118	147	(617)	(868)	(815)
Net income	**(118)**	**301**	**173**	**167**	**340**	**484**	**48**	**640**	**656**
EBITDA									
Interest	1	13	5	-	-	-	1	13	5
Income taxes	26	13	3	-	-	-	26	13	3
Depreciation	-	150	150	-	-	-	-	150	150
Amortization	-	1	2	-	-	-	-	1	2
EBITDA	**(92)**	**478**	**332**	**167**	**340**	**484**	**74**	**817**	**816**

Source: Management provided information
Note: Cash to accrual adjustments are excluded from the above table.

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Summary reported income statement - Indicative accrual basis

The table below presents the Company's reported income statement on an indicative accrual basis. **Only** cash to accrual adjustments are presented.

The adjacent table presents the Company's reported income statement on an accrual basis for each respective period.

No quality of earnings adjustments are applied other than the cash to accrual adjustments.

Income statement - Accrual basis

	Reported (Cash basis)			Cash to accrual adjustments			Reported (Accrual basis)		
USD'000	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19
Collections	3,096	5,865	7,061	64	70	115	3,160	5,935	7,176
Other income	29	37	32	-	-	-	29	37	32
Refunds	4	(0)	(5)	-	-	-	4	(0)	(5)
Income	3,129	5,901	7,088	64	70	115	3,193	5,971	7,203
Payroll expenses	(739)	(1,443)	(1,852)	1	(31)	(25)	(737)	(1,474)	(1,877)
Equipment lease	(323)	(646)	(740)	(121)	(87)	(171)	(444)	(734)	(911)
Physician services	(268)	(475)	(810)	-	-	-	(268)	(475)	(810)
Advertising & marketing expenses	(231)	(381)	(486)	-	-	-	(231)	(381)	(486)
Account management fees	(243)	(339)	(407)	-	-	-	(243)	(339)	(407)
Rent/lease expense	(182)	(261)	(329)	-	-	-	(182)	(261)	(329)
Payroll tax expense	(77)	(142)	(184)	-	-	-	(77)	(142)	(184)
Start up costs	(90)	(88)	(176)	-	-	-	(90)	(88)	(176)
Consulting fees	(108)	(137)	(166)	-	-	-	(108)	(137)	(166)
Insurance	(31)	(71)	(126)	-	-	-	(31)	(71)	(126)
Office expense	(15)	(83)	(118)	-	-	-	(15)	(83)	(118)
Other operating expenses	(324)	(579)	(609)	-	-	-	(324)	(579)	(609)
Operating expenses	(2,631)	(4,645)	(6,002)	(120)	(118)	(197)	(2,751)	(4,763)	(6,198)
Net operating income	**498**	**1,256**	**1,087**	**(56)**	**(48)**	**(82)**	**443**	**1,208**	**1,005**
Management fee income	-	31	44	-	-	-	-	31	44
Sublease income	-	-	4	-	-	-	-	-	4
Other income	-	31	48	-	-	-	-	31	48
Partner salary	(592)	(731)	(687)	-	-	-	(592)	(731)	(687)
Achieve medical - partner salary	(25)	(137)	(150)	-	-	-	(25)	(137)	(150)
Loss - achieve tms los angeles	-	(118)	(125)	-	-	-	-	(118)	(125)
Other expenses	(617)	(987)	(962)	-	-	-	(617)	(987)	(962)
Net income	**(118)**	**301**	**173**	**(56)**	**(48)**	**(82)**	**(174)**	**253**	**91**
EBITDA									
Interest	1	13	5	-	-	-	1	13	5
Income taxes	26	13	3	-	-	-	26	13	3
Depreciation	-	150	150	-	-	-	-	150	150
Amortization	-	1	2	-	-	-	-	1	2
EBITDA	**(92)**	**478**	**332**	**(56)**	**(48)**	**(82)**	**(148)**	**430**	**250**

Source: Management provided information

Appendix 2

Summary by center - Achieve TMS and TMS Alaska

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Sites break even at approximately 4 – 5 patients under treatment. However, certain sites with greater than 5 patients continue to experience losses, namely Wilsonville and Temecula. This is primarily driven by lower revenues per patient compared to more profitable centers.

Summary by centers - California

USD'000	Revenue			Account management fees			Equipment lease			Payroll expenses			Rent / lease expense			Other operating expenses			EBITDA, reported			*EBITDA, margin*			Average patients		
	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19
La Jolla	756	927	846	(59)	(54)	(53)	(33)	(59)	(54)	(117)	(153)	(179)	(14)	(15)	(14)	(40)	(47)	(48)	494	591	490	*65.4%*	*63.7%*	*57.9%*	n.q	13	13
HC-Mission Valley	389	671	689	(29)	(37)	(40)	(49)	(59)	(59)	(140)	(165)	(177)	(53)	(57)	(66)	(77)	(74)	(87)	46	275	280	*11.8%*	*40.9%*	*40.7%*	n.q	10	9
Beaverton	117	662	658	(7)	(37)	(39)	(23)	(52)	(55)	(68)	(186)	(195)	(10)	(18)	(19)	(57)	(45)	(40)	(28)	318	301	*(24.0)%*	*47.9%*	*45.8%*	n.q	7	8
Eastlake	300	468	607	(27)	(26)	(34)	(33)	(74)	(75)	(130)	(151)	(167)	(6)	(8)	(7)	(36)	(41)	(40)	69	160	273	*23.1%*	*34.2%*	*44.9%*	n.q	6	8
Carlsbad	484	545	597	(36)	(31)	(36)	(42)	(56)	(56)	(128)	(170)	(184)	(10)	(15)	(14)	(37)	(38)	(37)	232	226	260	*47.8%*	*41.5%*	*43.6%*	n.q	6	7
Portland	325	564	513	(22)	(33)	(30)	(32)	(54)	(56)	(139)	(220)	(236)	(24)	(18)	(18)	(95)	(52)	(55)	33	178	118	*10.1%*	*31.5%*	*23.0%*	n.q	8	7
Rancho Mirage	396	378	444	(30)	(22)	(25)	(33)	(56)	(56)	(119)	(140)	(245)	(12)	(18)	(20)	(37)	(45)	(84)	166	88	39	*42.0%*	*23.2%*	*8.8%*	n.q	5	5
SLO 2	154	464	428	(10)	(26)	(26)	(10)	(48)	(57)	(66)	(170)	(150)	(15)	(20)	(24)	(28)	(41)	(39)	31	152	123	*19.8%*	*32.7%*	*28.7%*	n.q	5	5
Wilsonville	-	214	229	-	(11)	(14)	-	(44)	(49)	(1)	(127)	(137)	(6)	(13)	(18)	(7)	(50)	(41)	(7)	(32)	(36)	-	*(15.0)%*	*(15.7)%*	n.q	3	4
Rancho Bernardo	111	201	199	(8)	(11)	(11)	(15)	(58)	(57)	(56)	(121)	(137)	(16)	(20)	(22)	(29)	(36)	(34)	(7)	(54)	(72)	*(6.2)%*	*(26.8)%*	*(36.2)%*	n.q	3	3
Agoura Hills	-	-	162	-	-	(7)	-	(9)	(18)	-	-	(109)	-	-	-	-	(12)	(29)	-	(13)	6	-	-	*3.6%*	n.q	1	6
Claremont	12	198	150	(2)	(11)	(10)	(9)	(47)	(56)	(38)	(143)	(146)	-	(13)	(10)	(15)	(40)	(34)	(51)	(65)	(117)	*n.q.*	*(32.9)%*	*(78.4)%*	n.q	3	2
Jantzen Beach	-	61	148	-	(3)	(8)	-	(8)	(29)	(0)	(44)	(102)	-	(9)	(12)	-	(31)	(45)	(0)	(17)	(37)	-	*(27.2)%*	*(24.6)%*	n.q	3	4
Temecula	-	2	57	-	(0)	(1)	-	-	(23)	-	(34)	(90)	-	(2)	(6)	-	(22)	(35)	-	(43)	(88)	-	*n.q.*	*(153.0)%*	n.q	2	3
Riverside	-	-	32	-	-	(1)	-	-	(22)	-	-	(35)	-	-	(2)	-	(7)	(16)	-	(1)	(40)	-	-	*(127.8)%*	n.q	-	2
Not Specified	1	-	19	-	-	-	-	-	-	-	-	-	-	-	-	7	-	14	5	-	21	*n.q.*	-	*112.5%*	n.q	-	-
Huntington Beach	-	-	17	-	-	(0)	-	-	-	-	-	(21)	-	-	(4)	-	-	(11)	-	-	(14)	-	-	*(85.2)%*	n.q	-	1
Irvine	-	-	4	-	-	-	-	-	-	-	-	(18)	-	-	(5)	-	-	(11)	-	-	(24)	-	-	*n.q.*	n.q	-	1
San Luis Obispo	34	0	-	(5)	(0)	-	(35)	(9)	-	(71)	(1)	-	(8)	-	-	(48)	(0)	-	(112)	(9)	-	*n.q.*	*n.q.*	-	n.q	5	5
Anchorage	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	6	11	-	6	11	-	-	-	n.q	-	-
Calabasas	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(2)	9	5	-	10	5	-	-	-	n.q	-	-
Inland Empire	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(2)	(2)	-	(2)	(2)	-	-	-	n.q	-	-
San Clemente	7	-	-	(4)	-	-	(4)	-	-	(18)	-	-	(5)	-	-	(8)	-	-	(30)	-	-	*n.q.*	-	-	n.q	-	-
Simi Valley	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(118)	(118)	-	(118)	(118)	-	-	-	n.q	-	-
Sovereign	5	-	-	(1)	-	-	-	-	-	-	-	-	-	-	-	(3)	-	-	2	-	-	*33.3%*	-	-	n.q	-	-
Vista	38	-	-	(3)	-	-	(5)	-	-	(33)	-	-	(3)	(2)	-	(16)	(1)	-	(20)	(2)	-	*(52.8)%*	-	-	n.q	-	-
Wasilla	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	6	11	-	6	11	-	-	-	n.q	-	-
Fairbanks	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	3	-	-	3	-	-	-	n.q	-	-
Northridge	-	-	-	-	-	-	-	-	(3)	-	-	-	-	-	-	-	-	(0)	-	-	(3)	-	-	-	n.q	-	-
Total centers	3,129	5,356	5,800	(243)	(302)	(336)	(323)	(633)	(726)	(1,123)	(1,825)	(2,327)	(182)	(226)	(260)	(528)	(678)	(764)	821	1,654	1,389	*26.2%*	*30.9%*	*24.0%*	n.q	79	92
Advertising & marketing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(231)	(349)	(416)	(231)	(349)	(416)	-	-	-	n.a	n.a	n.a
Partner salaries	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(592)	(731)	(687)	(592)	(731)	(687)	-	-	-	n.a	n.a	n.a
Start-up costs	-	-	-	-	-	-										(90)	(74)	(147)	(90)	(74)	(147)	-	-	-	n.a	n.a	n.a
Total corporate	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(823)	(1,080)	(1,103)	(913)	(1,155)	(1,250)	-	-	-	n.a	n.a	n.a
Total	**3,129**	**5,356**	**5,800**	**(243)**	**(302)**	**(336)**	**(323)**	**(633)**	**(726)**	**(1,123)**	**(1,825)**	**(2,327)**	**(182)**	**(226)**	**(260)**	**(1,351)**	**(1,759)**	**(1,867)**	**(91)**	**499**	**139**	***(2.9)%***	***9.3%***	***2.4%***	***n.q***	***79***	***92***

Summary by centers - Alaska

USD'000	Revenue			Account management fees			Equipment lease			Payroll expenses			Rent / lease expense			Other operating expenses			EBITDA, reported			EBITDA, margin			Average patients		
	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	May-19
Anchorage	-	308	648	-	(20)	(36)	-	(9)	(9)	-	(169)	(298)	-	(23)	(43)	-	(155)	(203)	-	20	142	-	*6.4%*	*21.9%*	n.q	6	9
Wasilla	-	236	634	-	(16)	(35)	-	(5)	(5)	-	(116)	(237)	-	(12)	(23)	-	(134)	(188)	-	11	199	-	*4.7%*	*31.3%*	n.q	6	6
Fairbanks	-	2	6	-	-	-	-	-	-	-	(8)	(44)	-	-	-	-	-	(10)	-	(7)	(49)	-	*n.q.*	*n.q.*	n.q	-	1
Total centers	-	545	1,288	-	(36)	(71)	-	(13)	(13)	-	(293)	(579)	-	(36)	(67)	-	(289)	(401)	-	24	291	-	*4.4%*	*22.6%*	n.q	12	16
Advertising & marketing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(32)	(68)	-	(32)	(68)	-	-	-	n.a	n.a	n.a
Partner salaries	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	n.a	n.a	n.a
Start-up costs																-	(13)	(29)	-	(13)	(29)	-	-	-	n.a	n.a	n.a
Total corporate	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(45)	(97)	-	(45)	(97)	-	-	-	n.a	n.a	n.a
Total	**-**	**545**	**1,288**	**-**	**(36)**	**(71)**	**-**	**(13)**	**(13)**	**-**	**(293)**	**(579)**	**-**	**(36)**	**(67)**	**-**	**(334)**	**(498)**	**-**	**(21)**	**194**	**-**	***(3.9)%***	***15.1%***	***n.q***	***12***	***16***

Source (all): Management provided information

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Indicative working capital build-up - Accounts receivable

The table below summarizes the assumptions used to determine indicative accounts receivable.

Accounts receivables

USD'000	As at 31-Dec-17	As at 31-Dec-18	As at 31-May-19	Average FY17	Average FY18	Average TTM May-19
Calculated AR						
1 Waterfall AR	328	361	398	213	352	357
2 Estimated AR	-	-	34	-	-	4
TMS Achieve	328	361	432	213	352	360
1 Waterfall AR	-	81	86	-	47	98
2 Estimated AR	-	-	3	-	-	0
TMS Alaska	-	81	89	-	47	98
Total AR	**328**	**443**	**521**	**213**	**399**	**459**

Source: Management provided information

Accounts receivable

- The detailed collections / billing data by center is analyzed to estimate accounts receivable for the indicative net working capital analysis. Below are the key assumptions utilized.

1. **Waterfall AR:** This represents cash payments for the reported service month that are collected in the subsequent months.
2. **Estimated AR:** This represents estimated future payments for the reported service month that are expected to be collected in future based on historical collection trends.

- Management noted that accounts receivables within reported balance sheet are primarily related to inter-company balances. Patient accounts receivables are recorded outside of balance sheet based on charges billed and actual cash payments received. Management has provided a summary of charges, payments, contractual adjustments, and an estimate of ending accounts receivable. We compared this summary to our waterfall analysis of detailed cash collections and accounts receivable (see below table). The variances noted are primarily related to Management AR which is presented “gross” – i.e. insurance payer adjustments and other uncollectible amounts are included in AR until the contractual rates are received.

Reconciliation - Accounts receivables

USD'000	31-Dec-17	31-Dec-18	31-May-19
AR, per management	541	750	1,069
AR, per collections waterfall	328	443	521
Variance	**213**	**308**	**548**

Source: Management provided information.

Note: The above stated patient account receivables per management will not reconcile to the reported inter-company AR balances.

AR, per Management: These represent patient accounts receivables calculated as charges billed less actual cash collections (includes insurance payer adjustments which are typically not collectible).

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Indicative working capital build-up - Accounts payable

The tables below summarize the assumptions used to determine indicative accounts payable. Estimated DPO of 30 days is used in the analysis as Management represents that all payables are paid within 30 days.

Accounts payable

	As at			Average		
USD'000	**31-Dec-17**	**31-Dec-18**	**31-May-19**	**FY17**	**FY18**	**TTM May-19**
Accounts payable calculation						
Operating expense to consider for AP	(80)	(118)	(158)	(54)	(93)	(118)
Assumed DPO	30	30	30	30	30	30
Accounts payable	**(78)**	**(114)**	**(153)**	**(54)**	**(92)**	**(117)**

Source: Management provided information

Accounts payable analysis

USD'000	FY17	FY18	TTM May-19
Adjusted operating expenses	(2,584)	(4,516)	(5,836)
Exclusions			
Prepaids	658	1,079	1,371
Non cash items	-	151	152
Payroll expenses and tax, physician services	1,228	2,130	2,860
Cash expenses	46	38	35
Exclusions	1,931	3,398	4,418
Operating expenses to consider for AP	**(653)**	**(1,117)**	**(1,418)**

Source: Management provided information

Indicative accounts payable

This analysis calculate indicative accounts payables based on adjusted operating expenses and estimated DPO of 30 days. Following items are excluded from the definition of operating expenses:

- **Prepaid:** Prepaid expenses primarily include rent / equipment lease and insurance payments. Management represents such expenses are paid in advance on a monthly basis hence excluded from the analysis.
- **Non-cash items:** This adjustment eliminates expenses such as depreciation and amortization which are excluded from the EBITDA by definition.
- **Payroll expenses:** Payroll expenses have been excluded and separately analyzed as part of accrued payroll liabilities.
- **Cash expenses:** This adjustment eliminates expenses assumed to be paid in cash. Certain administrative expenses such as bank charges, credit card fees etc. are assumed to be paid in cash and thus excluded from indicative accounts payable calculation.
- **Estimated DPO of 30 days:** Per Management, it takes thirty days to pay an invoice after it is received. As a result, the adjacent table uses a DPO of 30 days to calculate the indicative accounts payable.

Appendix 4

Cash to accrual revenue (1/3)

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The following table present the calculation of Cash to accrual revenue adjustment. Estimated future collections are calculated on the basis of historical collections as a percentage of gross charges. Actual collections plus future estimated collections combined represent accrual based revenue for that period.

Cash to accrual revenue adjustment

USD'000	FY17	FY18	TTM May-19
Collections	3,096	5,865	7,061
Other income	29	37	32
1 Revenue, reported	3,125	5,901	7,094
Achieve centers	3,189	5,347	5,830
Alaska	-	625	1,379
2 Revenue, accrual basis (per cash waterfall)	3,189	5,972	7,208
3 **Cash to accrual adjustment**	**64**	**70**	**115**
Adjustment as a % of reported revenue	*2.1%*	*1.2%*	*1.6%*

Source: Management provided information

Cash to accrual revenue

1. **Revenue, reported:** This represents the combined reported revenue for TMS Achieve and TMS Alaska on a cash basis as per detailed trial balances provided by the Management.
2. **Revenue, accrual basis:** This represents an indicative accrual based revenue. A waterfall analysis comparing historical collections to when the initial service was performed was analyzed to model accrued revenue. Whereas, estimated future collections were calculated on the basis of historical collections as a percentage of gross charges. Refer to the subsequent page for the detailed build-up of accrued revenue.
3. **Cash to accrual adjustment:** This represents difference between reported revenue (1) as per trial balances (cash basis) and “Revenue, accrual basis” (2). The resultant adjustment restates the cash based revenue to an accrual basis.

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Cash to accrual revenue - TMS Achieve (2/3)

The tables below present the waterfall analysis to determine accrual based revenue which is then compared to cash basis revenue as per reported financials to calculate cash to accrual adjustment for TMS Achieve Centers.

1 **Estimated net revenue - TMS Achieve**

USD'000	Jun-18	Jul-18	Aug-18	Sep-18	Oct-18	Nov-18	Dec-18	Jan-19	Feb-19	Mar-19	Apr-19	May-19	FY17	FY18	TTM May-19
Gross charge	**788**	**684**	**817**	**768**	**1,020**	**994**	**889**	**764**	**736**	**868**	**987**	**1,269**	**5,765**	**9,689**	**10,584**
Total collections as a % of gross charges	*56.1%*	*56.3%*	*54.8%*	*50.8%*	*53.9%*	*57.0%*	*56.2%*	*54.8%*	*56.1%*	*55.5%*	*54.8%*	*54.8%*	*55.3%*	*55.2%*	*55.1%*
Revenue, accrual basis	**442**	**386**	**448**	**390**	**550**	**566**	**500**	**418**	**412**	**481**	**540**	**695**	**3,189**	**5,347**	**5,830**
Collections	429	369	487	390	464	558	538	401	452	512	501	673	3,096	5,321	5,772
Other income	(2)	(14)	14	(2)	18	(6)	47	(4)	3	(16)	8	(16)	29	35	29
Revenue, as reported (cash basis)	426	354	500	388	482	552	584	397	455	497	509	656	3,125	5,356	5,801
Cash to accrual adjustment	**16**	**31**	**(52)**	**2**	**68**	**14**	**(85)**	**21**	**(42)**	**(15)**	**31**	**39**	**64**	**(9)**	**29**

1 The adjacent table calculates accrued revenue by applying total collection percentages to gross charges for each respective reported period. Further, cash to accrual adjustment is calculated by comparing accrual basis revenue to the reported cash revenue.

2 ***Collection % calculation***

%'s	Jun-18	Jul-18	Aug-18	Sep-18	Oct-18	Nov-18	Dec-18	Jan-19	Feb-19	Mar-19	Apr-19	May-19
Actual collections as a % of gross charges	*56.1%*	*56.3%*	*54.8%*	*50.8%*	*53.9%*	*57.0%*	*56.2%*	*54.6%*	*56.1%*	*55.5%*	*54.1%*	*52.7%*
Avg. collection rate for FY17 and FY18	*n.a*	*n.a*	*n.a*	*n.a*	*n.a*	*n.a*	*n.a*	*54.8%*	*54.8%*	*54.8%*	*54.8%*	*54.8%*
Estimated future collections as a % of gross charges	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.2%*	*0.0%*	*0.0%*	*0.7%*	*2.0%*
Total collections as a % of gross charges	***56.1%***	***56.3%***	***54.8%***	***50.8%***	***53.9%***	***57.0%***	***56.2%***	***54.8%***	***56.1%***	***55.5%***	***54.8%***	***54.8%***

Note: To the extent the actual collection rate is more than the historical average, we applied the actual collection rate for that month.

2 The adjacent table presents the build-up of total collection percentages using:

Actual collections: These represent actual cash payments received for each reported date of service.

Estimated future collections: A significant portion of the Company's revenue is collected within five months of service. Therefore, we have applied historical average collection rate for FY17 and FY18 to YTD May-19 period for calculating remaining future collections.

3 **Cash collection waterfall - TMS Achieve**

Date of payments	Date of service														
USD'000	**Jun-18**	**Jul-18**	**Aug-18**	**Sep-18**	**Oct-18**	**Nov-18**	**Dec-18**	**Jan-19**	**Feb-19**	**Mar-19**	**Apr-19**	**May-19**	**FY17**	**FY18**	**TTM May-19**
Jun-18	227	-	-	-	-	-	-	-	-	-	-	-	3	417	227
Jul-18	156	172	5	0	-	-	-	-	-	-	-	-	10	364	333
Aug-18	46	200	218	-	-	-	-	-	-	-	0	-	0	488	465
Sep-18	8	8	187	174	0	-	-	-	-	-	0	-	0	400	378
Oct-18	1	2	27	165	250	2	-	-	-	-	0	0	-	457	446
Nov-18	1	1	1	30	245	272	-	-	-	-	-	-	-	558	550
Dec-18	1	0	7	11	28	252	242	-	-	-	-	-	-	544	541
Jan-19	0	1	0	3	6	17	216	160	0	-	-	-	-	244	404
Feb-19	0	0	0	0	11	19	29	233	156	0	-	-	3	62	450
Mar-19	-	0	2	5	5	2	3	14	225	245	1	-	-	16	500
Apr-19	-	0	-	0	0	0	1	5	17	221	228	0	-	2	474
May-19	-	1	-	1	3	3	8	3	4	5	287	329	-	15	644
Jun-19	1	-	1	1	2	0	0	1	10	10	17	340	-	19	384
Actual cash collections	**442**	**386**	**448**	**390**	**550**	**566**	**500**	**417**	**412**	**481**	**533**	**669**	**3,189**	**5,347**	**5,796**
Gross Charges	788	684	817	768	1,020	994	889	764	736	868	987	1,269	5,765	9,689	10,584
% of Gross charges	*56.1%*	*56.3%*	*54.8%*	*50.8%*	*53.9%*	*57.0%*	*56.2%*	*54.6%*	*56.1%*	*55.5%*	*54.1%*	*52.7%*	*55.3%*	*55.2%*	*54.8%*

Source (all): Management provided information

3 The adjacent table maps the actual cash collections to the respective reported date of services.

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Cash to accrual revenue - TMS Alaska (3/3)

The tables below present the waterfall analysis to determine accrual based revenue which is then compared to cash basis revenue as per reported financials to calculate cash to accrual adjustment for TMS Alaska.

1 **Estimated net revenue - TMS Alaska**

USD'000	Jun-18	Jul-18	Aug-18	Sep-18	Oct-18	Nov-18	Dec-18	Jan-19	Feb-19	Mar-19	Apr-19	May-19	TTM May-19
Gross charge	**-**	**233**	**268**	**192**	**360**	**249**	**159**	**234**	**318**	**306**	**446**	**466**	**3,232**
Total collections as a % of gross charges	*0.0%*	*52.2%*	*47.6%*	*41.5%*	*37.7%*	*38.1%*	*40.8%*	*36.1%*	*36.5%*	*46.8%*	*47.0%*	*43.0%*	*42.7%*
Revenue, accrual basis	**-**	**122**	**127**	**80**	**136**	**95**	**65**	**84**	**116**	**143**	**210**	**200**	**1,379**
Collections	-	34	117	79	135	109	69	50	70	192	201	233	1,289
Other income	-	(1)	1	2	(3)	0	3	(2)	3	(0)	0	-	3
Revenue, as reported (cash basis)	-	33	118	81	133	109	71	49	73	192	201	233	1,293
Cash to accrual adjustment	**-**	**89**	**9**	**(1)**	**3**	**(14)**	**(6)**	**36**	**43**	**(48)**	**9**	**(33)**	**86**

2 ***Collection % calculation***

%'s	Jun-18	Jul-18	Aug-18	Sep-18	Oct-18	Nov-18	Dec-18	Jan-19	Feb-19	Mar-19	Apr-19	May-19
Actual collections as a % of gross charges	*0.0%*	*52.2%*	*47.6%*	*41.5%*	*37.7%*	*38.1%*	*40.8%*	*36.1%*	*36.5%*	*46.8%*	*47.0%*	*42.3%*
Avg. collection rate (Jul-18 to Dec-18)	*n.a*	*n.a*	*n.a*	*n.a*	*n.a*	*n.a*	*n.a*	*n.a*	*n.a*	*43.0%*	*43.0%*	*43.0%*
Estimated future collections as a % of gross charges	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.7%*
Total collections as a % of gross charges	***0.0%***	***52.2%***	***47.6%***	***41.5%***	***37.7%***	***38.1%***	***40.8%***	***36.1%***	***36.5%***	***46.8%***	***47.0%***	***43.0%***

Note: To the extent the actual collection rate is more than the historical average, we applied the actual collection rate for that month.

3 **Cash collection waterfall - TMS Alaska**

		Date of service												
	USD'000	**Jun-18**	**Jul-18**	**Aug-18**	**Sep-18**	**Oct-18**	**Nov-18**	**Dec-18**	**Jan-19**	**Feb-19**	**Mar-19**	**Apr-19**	**May-19**	**TTM May-19**
Date of payments	Jun-18	-	-	-	-	-	-	-	-	-	-	-	-	-
	Jul-18	-	31	1	-	-	-	-	-	-	-	-	-	31
	Aug-18	-	58	59	-	-	-	-	-	-	-	-	-	117
	Sep-18	-	6	37	36	-	-	-	-	-	-	-	-	79
	Oct-18	-	19	20	28	68	0	-	-	-	-	-	-	135
	Nov-18	-	5	1	2	53	51	-	-	-	-	-	-	112
	Dec-18	-	0	1	4	7	38	20	-	-	-	-	-	70
	Jan-19	-	0	1	-	2	5	31	10	0	-	-	-	49
	Feb-19	-	2	6	10	5	1	6	27	9	-	-	-	67
	Mar-19	-	-	0	0	-	-	2	40	90	57	-	-	191
	Apr-19	-	-	1	0	-	-	3	5	13	79	101	0	204
	May-19	-	-	-	0	1	0	2	1	3	5	106	116	236
	Jun-19	-	-	-	-	-	-	0	-	-	1	3	81	86
	Actual collections	**-**	**122**	**127**	**80**	**136**	**95**	**65**	**84**	**116**	**143**	**210**	**197**	**1,375**
	Gross Charges	-	233	268	192	360	249	159	234	318	306	446	466	3,232
	% of Gross charges	*0.0%*	*52.2%*	*47.6%*	*41.5%*	*37.7%*	*38.1%*	*40.8%*	*36.1%*	*36.5%*	*46.8%*	*47.0%*	*42.3%*	*42.6%*

Source (all): Management provided information

1 The adjacent table calculates accrued revenue by applying total collection percentages to gross charges for each respective reported period. Further, cash to accrual adjustment is calculated by comparing accrual basis revenue to the reported cash revenue.

2 The adjacent table presents the build-up of total collection percentages using:

Actual collections: These represent actual cash payments received for each reported date of service.

Estimated future collections: A significant portion of the Company's revenue is collected within three months of service. Therefore, we have applied historical average collection rate for Jul-18 to Dec-18 to T3M May-19 period for calculating remaining future collections.

3 The adjacent table maps the actual cash collections to the respective reported date of services.

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Reconciliations – Revenue and expenses to cash receipts

The following reconciles the Company's deposits to its revenue, and payroll expense to its Paychex withdrawals. We noted that cash receipts exceeded revenue recorded, and reported expenses exceeded Paychex withdrawals. The differences reflected below remain unreconciled.

Revenue reconciliation - Achieve Centers

USD'000	FY18	TTM May-19
Collections per trial balance		
Collections per trial balance	5,321	5,772
Other income per trial balance	35	29
Collections per trial balance	**5,356**	**5,801**
Deposits per bank statements		
Inamdar & Sheth	5,465	5,819
Credits related to revenue (per management)	5,465	5,819
Difference	**(109)**	**(18)**
Difference %	***(2.0)%***	***(0.3)%***

Source: Management provided information.

Revenue reconciliation - TMS Alaska

$'000	FY18	TTM May-19
Revenue, reported per revised IS	545	1,288
Deposits not related to revenue	-	-
Expected credits (deposits)	545	1,288
Actual credits (deposits) per operating bank statements	595	1,273
Difference	**50**	**(15)**
Difference %	***8.4%***	***(1.2)%***

Source: Management provided information.

Payroll expense reconciliation - Achieve Centers

$'000	FY18	TTM May-19
Payroll expenses	(1,203)	(1,469)
Physicial services	(447)	(660)
Benefits	(77)	(40)
Payroll tax expense	(120)	(142)
Partner salary	(868)	(814)
Other	(56)	(55)
Payroll expenses, reported per revised IS	(2,771)	(3,181)
Cash outflows per bank statements		
Account # 7937	(2,404)	(2,905)
Account # 3354	-	-
Paychex debits (outflows) per bank statement	(2,404)	(2,905)
Difference	**367**	**276**
Difference %	***(15.3)%***	***(9.5)%***

Source: Management provided information.

Payroll expense reconciliation - TMS Alaska

$'000	FY18	TTM May-19
Payroll expenses	(240)	(348)
Physicial services	(28)	(150)
Payroll tax expense	(22)	(41)
Marketing employees	-	(34)
Other	(7)	(14)
Payroll expenses, reported per revised IS	(297)	(588)
Cash outflows per bank statements		
Paychex withdrawals, account # 5088	(277)	(582)
Difference	**20**	**6**
Difference %	***(7.4)%***	***(1.0)%***

Source: Management provided information.

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Reconciliations – Reported revenue to collections data

The following reconciles the Company's reported revenue to payment collections by center. The variances reported in FY18 and TTM May-19 are less than 1% of the reported revenue.

Reconciliation - Reported revenue and collections by centre

	Revenue (Collections)			Collections			Variance		
USD'000	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19	FY17	FY18	TTM May-19
California									
HC-Mission Valley	385	667	686	360	666	685	26	0	1
Beaverton	116	658	655	114	664	669	2	(5)	(14)
Eastlake	297	465	605	276	456	609	20	9	(4)
Carlsbad	479	541	595	457	526	601	23	15	(6)
Portland	321	560	511	331	576	522	(9)	(15)	(11)
Rancho Mirage	391	376	444	359	376	367	33	0	77
San Luis Obispo (SLO)	187	461	427	183	461	428	4	1	(1)
Wilsonville	-	213	229	-	208	227	-	4	3
Rancho Bernardo	110	200	200	110	200	200	-	0	-
Agoura Hills	-	-	164	-	-	164	-	-	(0)
Claremont	12	196	150	12	196	150	-	0	(0)
Jantzen Beach	-	61	150	-	61	150	-	-	(0)
Temecula	-	2	59	-	2	59	-	-	(0)
Huntington Beach	-	-	18	-	-	18	-	-	-
Irvine	-	-	4	-	-	6	-	-	(2)
La Jolla	748	921	842	724	921	840	24	0	2
Riverside	-	-	33	-	-	33	-	-	-
Alaska									
Anchorage	-	308	650	-	306	649	-	2	1
Wasilla	-	236	634	-	237	636	-	(2)	(2)
Fairbanks	-	-	5	-	-	5	-	-	-
Total	**3,047**	**5,865**	**7,061**	**2,925**	**5,856**	**7,017**	**122**	**9**	**45**
Missing centers									
Not Specified	-	-	-	n.p	n.p	n.p	n.p	n.p	n.p
Vista	38	-	-	n.p	n.p	n.p	n.p	n.p	n.p
San Clemente	7	-	-	n.p	n.p	n.p	n.p	n.p	n.p
Sovereign	5	-	-	n.p	n.p	n.p	n.p	n.p	n.p
Missing centers	**49**	**-**	**-**	**-**	**-**	**-**	**49**	**-**	**-**
Total	**3,096**	**5,865**	**7,061**	**2,925**	**5,856**	**7,017**	**171**	**9**	**45**
Variance as % of reported revenue							***5.5%***	***0.1%***	***0.6%***

Source: Management provided information.

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Fixed assets summary

Management represents more than 80% of the total fixed assets are purchased in the last 3 years and have been fully depreciated.

Fixed assets Summary as at 31-May-2019	Value (USD'000)					Count (#'s)				
	0-3 years	3-5 years	5+ years	N.A	Total	0-3 years	3-5 years	5+ years	N.A	Total
Computer hardware	4	1	-	-	5	27	11	-	1	39
Computers	17	3	-	-	20	34	8	-	22	64
Furniture and fixtures	45	9	-	0	54	186	55	1	40	282
TMS Chair	29	5	-	-	33	19	3	-	-	22
Total	**94**	**18**	**-**	**0**	**112**	**266**	**77**	**1**	**63**	**407**
% of total	***83.6%***	***16.4%***	***-***	***0.1%***	***100.0%***	***65.4%***	***18.9%***	***0.2%***	***15.5%***	***100.0%***

Source: Management provided information.

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Payroll analysis - Achieve TMS centers

The table below summarizes the payroll expenses for Achieve TMS. Management represents decline in salaries and wages per employee from FY17 to TTM May-19 is attributable to hiring of more lower-salaried/hourly employees in recent period as business has grown and became multi-state.

Payroll analysis - Achieve TMS centers

USD'000	FY17	FY18	TTM May-19
Partner salary	(617)	(868)	(837)
Physician services	(268)	(447)	(660)
All other employees	(739)	(1,203)	(1,469)
Employee appreciation	-	(9)	(11)
Employee benefit expense	(51)	(37)	(18)
Employee reimbursement	(53)	(31)	(11)
Insurance - workers compensation	-	-	-
Pension expense	(30)	(41)	(41)
Payroll fees	(10)	(15)	(15)
Payroll tax expense	(77)	(120)	(142)
Payroll expenses	**(1,846)**	**(2,771)**	**(3,204)**
KPI's			
Salaries and Wages	(1,624)	(2,518)	(2,966)
Benefits	(105)	(77)	(40)
Pension	(30)	(41)	(41)
Payroll taxes and other	(87)	(135)	(157)
Total Payroll	**(1,846)**	**(2,771)**	**(3,204)**
KPI's - As % of salaries			
Benefits as % of salaries	*6.5%*	*3.1%*	*1.4%*
Pension as % of salaries	*1.9%*	*1.6%*	*1.4%*
Payroll taxes and other as % of salaries	*5.3%*	*5.4%*	*5.3%*
Headcount			
Partners	3	3	3
Physicians	5	8	13
All other employees	7	20	30
Total employees	15	32	46
Cost per employee			
Salaries and Wages	(108)	(80)	(65)
Benefits	(7)	(2)	(1)
Pension	(2)	(1)	(1)
Payroll taxes and other	(6)	(4)	(3)

Source: Management provided information.

The above payroll analysis includes all employee related expenses for Achieve TMS Centers. As such, some figures may differ from the consolidated financial statements presented in this report.

Engagement letter procedures (1/2)

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TRANSACTION SERVICES WORKPLAN

Unless otherwise noted, our work will concentrate on financial information for the last two fiscal years, period ending December 31, 2017 and 2018 ("FY17" and "FY18"), and the latest available months in FY19.

Financial Due Diligence

The deliverable will include a Quality of Earnings summary report and corresponding data book.

General

1. Overview

Read Target's financial statements and discuss them with management to gain an understanding of Target's accounting policies and practices, including:

a) Finance function, financial reporting framework, and management reporting relationships; and
b) Significant accounting policies and estimates (e.g. revenue recognition, capitalized costs, deferred revenue) and contemplated changes.

2. Quality of earnings

Summarize potential adjustments identified regarding the profit and loss performance of Target in the form of a quality of earnings analysis, summarizing the risks that may impact earnings before interest, taxes, depreciation and amortization ("EBITDA"), including:

a) Adjustments proposed by Target (~$0.49m for FY18);
b) Pro forma impact of TMS Alaska and other Centers currently in development;
c) Working with Client, consider potential synergistic impact to EBITDA including back office costs, personnel, etc;
d) If applicable, cash to accrual considerations (revenue, provider compensation);
e) Large, unusual, and non-recurring events or transactions that may have distorted results;
f) The impact of prospective acquisitions currently under exclusivity;
g) The impact of provisions, management estimates or adjusting entries on the reported results; and
h) Other potential items discovered during the due diligence process.

Supporting analysis to Quality of Earnings

i. Analyze key performance metrics, to consider potential impact to EBITDA
   a) By provider production and compensation (at a high level);
   b) By center profitability trends and capacity (at a high level);
   c) Per client visit trends (at a high level);
   d) Understanding payor collection trends and reimbursement terms (at a high level);

ii. Any key supplier cost arrangements (i.e. volume rebates and minimum commitments, for top suppliers);
iii. Personnel cost profile (benefits, incentives, base compensation);
iv. Other operating expense trends.

3. Working capital

Obtain details on Target's working capital and conduct the following:

a) Monthly working capital trends, including seasonality, for the past 24 months;
b) Historical trends in key working capital metrics (DSO, DIO, DPO); and
c) Comment on factors that may have distorted the current or historical working capital position.

Supporting analysis to working capital

i. Trade and other receivables

Obtain and read an analysis of the Target's accounts receivable by payer and inquire about collections and adjustments.

ii. Inventories

Understand Target's underlying process for recording inventory and comment on unusual items.

iii. Other current assets

Obtain and read an analysis of the Target's other current assets and comment on unusual items, significant fluctuations and the existence of other balances to be potentially excluded from working capital (e.g. income taxes recoverable and deferred finance costs)

iii. Other current asset

Obtain and read an analysis of Target's payables and accrued liabilities and inquire about:

a) Terms of trade with major suppliers, aging analysis;
b) Accrued liabilities; and
c) Other current and non-current liabilities.

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Engagement letter procedures (2/2)

4. Capital expenditure requirements

Obtain and read an analysis of existing and future capital cost requirements including:

a) Center development costs, spent, remaining/committed; and
b) Other historical, deferred, and planned capital expenditures.

5. Net debt / debt-like items

a) Summarize and comment on net debt items (on and off balance sheet) presented by management and other potential debt-like items (e.g. contingent matters, litigation).

6. Other

Analyze Target's bank statement and reconcile, at high level, cash inflows to revenue/production data and payroll register to payroll expenses for sample periods.

Glossary

USD'000	Thousands of United States dollars
AASB	Auditing and Assurance Standards Board
AP	Accounts payable
AR	Accounts receivable
Avg.	Average
BS	Balance Sheet
CAPEX	Capital Expenditure
CEO	Chief Executive Officer
CFO	Chief financial officer
CIM	Confidential information memorandum
Client	Greenbrook TMS Neurohealth Centers
CPA	Certified Public Accountant
DIO	Days of inventory outstanding
DPO	Days payable outstanding
DSO	Days sales outstanding
EBITDA	Earnings before interest, taxes, depreciation and amortization
FDA	Food and Drug Administration
FYXX	Fiscal year ended December 31,20XX
Historical Period	Fiscal year ended December 31,2016, 2017 and 2018
HR	Human resource
MDD	Major Depressive disorder
n.a.	Not applicable
n.q.	Not quantified
NWC	Net working capital
P&L	Profit and loss account
PP&E	Property, plant, and equipment
QofE	Quality of earnings
Target	Achieve TMS, LLC
TB	Trial balance
TMS	Transcranial magnetic stimulation
TTM	Trailing twelve month
T3M	Trailing three months
UHC	United Healthcare
USD	United Stated Dollar
Vs.	Versus
YTD	Year to date

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